DIVISION OF NAVOTAS CITY

Senior High School

Organization and Management

(Quarter 1)

First Semester

ADM
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Secretary: Leonor Magtolis Briones
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Development Team of the Module

Writer: Caroline D. Nepomuceno

Editor: Lisa D. Escoto

Reviewer: Belinda I. Salazar

Illustrator: Eric De Guia, BLR Production Division

Layout Artist: Grace R. Nieves

Management Team: Alejandro G. Ibañez, OIC- Schools Division Superintendent
Isabelle S. Sibayan, OIC- Asst. Schools Division Superintendent
Loida O. Balasa, Chief, Curriculum Implementation Division
Grace R. Nieves, EPS In Charge of LRMS/EPP-TLE-TVL
Lorena J. Mutas, ADM Coordinator
Vergel Junior C. Eusebio, PDO II LRMS

Inilimbag sa Pilipinas ng _____

Department of Education – Navotas City
Office Address: BES Compound M. Naval St. Sipac-Almacen Navotas City

Telefax: 02-8332-77-64
E-mail Address: Navotas.city@deped.gov.ph

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What I Know

PRETEST: Choose the letter of the best answer. Write the chosen letter on a separate sheet of paper.

1. The statements below define management except for:
   a. The force that runs an enterprise and is responsible for its success and failure.
   b. The performance of conceiving and achieving desired results by means of group effort.
   c. An art only and not important subject in business.
   d. Satisfying the economic and social needs by being productive for the human being, for the economy and for society.
2. He postulated a management theory make use of the step, scientific methods for finding the single best way for doing a job.
   a. Henry Fayol
   b. Frederick W. Taylor
   c. Joseph M.Juran
   d. W. Edwards Deming
3. The skills that are helpful in decision-making.
   a. Human
   b. Technical
   c. Conceptual
   d. Physical
4. These persons may be called vice-president, managing director, chief executive officer or chairman of the board etc. and in charge to the overall objectives of the organization.
   a. Middle-Level Managers
   b. Top-Level Managers
   c. Tactical Managers
   d. Lower -Level Managers
5. An environment that includes, political, legal, economic, socio cultural and technological aspects.
   a. Opportunities
   b. Internal Environment
   c. Business Firm
   d. External Environment
6. Is the study of how society produces and distributes its desired goods and services.
   a. Economics
   b. Management
   c. Marketing
   d. Entrepreneurship
7. The following statements are nature of planning except:
   a. Planning is the function of all managers.
   b. Planning for efficient organization
   c. Assigning of responsibility
   d. Contribution to purpose and objective
8. The process of choosing a specific procedure or course of action from among several possible alternatives.
   a. Scenario Planning
   b. Forecasting
   c. Contingency Planning
   d. Decision-making
9. A management function which involves assigning of tasks, allocating of resources, and coordinating work activities to achieve a common purpose.
   a. Planning
   b. Organizing
   c. Staffing
   d. Directing
10. Organizational design which is made up of separate business division or units.
   a. Division Organizational
   b. Functional Organizational
   c. Team Design
   d. Matrix Design

MODULE 1

What I Need to Know

This module will provide you the knowledge, skills and understanding of basic concepts and theories of management.

Learning Competency:

- Explain the meaning, functions, types of theories of management.

In this module, you will understand that business firms are organization established to achieve certain objectives. Theory and practice indicate that for modern business to succeed, effective applications of sound organization and management practice must be made. It follows, then, that knowledge of organization and management theories must be required.

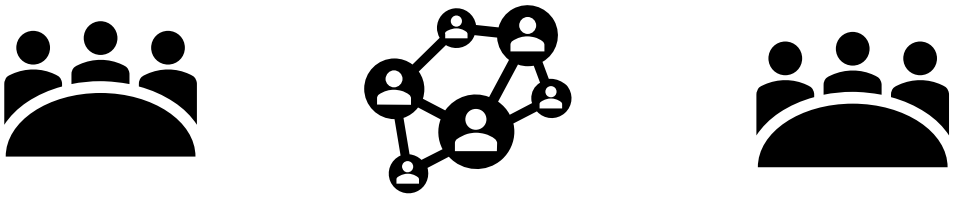
The module is focused mainly on one lesson, specifically:

- Lesson 1 – Basic Concepts and Theories of Management

At the end of this lesson, you are expected to:

1. discuss the meaning and functions of management;
2. explain the various types of management theories; and
3. understand the basic concepts and theories of management.

Lesson 1 Basic Concepts and Theories of Management



According to Corporate Finance Institute (CFI), Management theories are concepts surrounding recommended management strategies, which may include tools such as frameworks and guidelines that can be implemented in modern organizations. Generally, professionals will not rely solely on one management theory alone, but instead, introduce several concepts from different management theories that best suit their workforce and company culture.

Definition and Functions of Management

Management exists to some degree in the factory, office, school, bank, store, labor union, hotel, church, armed forces, hospital or home Management is defined in so many ways depending upon the viewpoints, beliefs and interpretations of the manager.

- **Management** is the process of coordinating and overseeing the work performance of individuals working together in an organization, so that they can accomplish their chosen aims/goals.
- **Management functions** include planning, organizing, staffing, leading, and controlling (POSDICON).
- **Planning** is the determining of the organization's goals, defining strategic actions to accomplish them, developing coordination/integration activities, and allocating appropriate organizational resources needed to achieve them.
- **Organizing** is the assigning of tasks, setting a part of funds, and bringing harmonious relations among the individual s and work groups/teams in the organization.
- **Staffing** is the filling-up of the different job positions in the organization's structure.
- **Leading** is the influencing /motivating of others to do their best so that their work efforts result in the achievement of organizational goals.
- **Controlling** involves the evaluating and correcting, if necessary, of the work performance of individuals or work groups /teams in order to make sure that they all are working towards a common goal.

Figure 1.1 The Five Functions of Management

Management is a distinct process of planning, organizing, staffing, directing and controlling (POSDICON), performed to determine and accomplish stated objectives by the use of human being and other business resources

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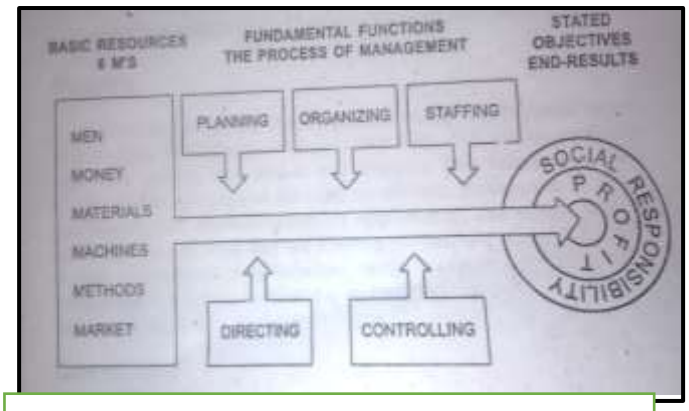


Figure 1.2 The Meaning of Management

- **Management** is both art and science.
  - It is an art because it results in the accomplishment of objectives using human efforts. It requires skill and careful study in the management of any endeavor.
  - It is a science because it is systematic body of knowledge. It gathers and analyze s facts and formulates general laws of principles from these facts.
  - As an art and science, therefore, management seeks to integrate into a unified, coordinated whole the essential factors that make up an organization.

Evolution of Management Theories

Evolution of Management Theories involves the improvement of work management methods from simple to more complex ones which also focus on customer satisfaction and conduct of people at work. The expansion and development of these theories are necessary in order to adapt to the changing times.

Management theories include the following:

- **Scientific Management Theory** makes use of the step by step, scientific methods for finding the single best way for doing a job. **Frederick W. Taylor (1856-1915)** is known as the Father of Scientific Management.

Taylor's Scientific Principles are as follows:

1. develop a science for each element of individual's work to replace the old rule of thumb method.
2. scientifically select and then train, teach and develop the workers;
3. heartedly cooperate with the workers so as to ensure that all work is done in accordance with the principles of the science that has been developed; and
4. divide the work and responsibility almost equally between management and workers.

- **General Administrative Theory** concentrate s on the manager's functions and what makes up good management exercises or implementation. **Henry Fayol (1841-1925) and Max Weber (1864-1920**) are the personalities most associated with it.

Henry Fayol's Management Principles:

1. Work division or specialization
2. Authority
3. Discipline
4. Unity of command
5. Unity of direction
6. Subordination of individual interest to general interest
7. Renumeration/pay
8. Centralization
9. Scalar chain of authority
10. Maintenance of order
11. Equity/fairness
12. Stability/security of tenure of workers
13. Employee initiative
14. Promotion of team spirit de corps

According to Weber, bureaucracy is an organizational form distinguished by the following components:

- division of labor

- hierarchical identification of job positions
- detailed rules and regulations
- impersonal connections with one another

➢ **Total Quality Management (TQM)** is a philosophy of management that focuses on the satisfaction of customers, their needs and expectations.

W. Edwards Deming (1900-1993) and Joseph M. Juran(1904-2008) were behind this philosophy.

Deming's 14 Points for top Management	**Juran's Fitness of Quality**
1.Create constancy of purpose for improvement of products and services.	1. Quality of design-through market research, product and concept
2.Adapt the new TQM philosophy	2. Quality of Conformance -through management, manpower and technology
3.Cease dependence on mass inspection by doing things right and doing right the first time.	3. Availability -through reliability, maintainability, and logistic support
4.End the practice of awarding business on the basis of price tag alone.	4. Full service – through promptness, competence, and integrity
5.Constantly improve the system of production and services.	**Juran's Quality Planning Roadmap**
6.Institute training.	1. Identify your customer.
7.Adopt and institute leadership.	2. Determine their needs.
8.Drive our fear.	3. Translate them into one's language.
9.Breakdown barriers between staff areas.	4. Develop a product responds to their needs.
10. Eliminate slogans, focus on correction of defects in the system.	5. Develop processes which are able to produce those product features.
11. Eliminate numerical quota for the work force.	6. Prove that process can produce the product.
12. Remove barriers that rob people of "pride of workmanship".	7.Transfer the resulting plans to the operating forces.
13. Encourage education and self-improvement for everyone.	
14. Take action to accomplish the transformation.	

➢ **Organizational Behavior Approach (OB)** is the study of the conduct, demeanor, or action of people at work.

What's More

Directions: A. Read the following statements carefully. Choose the letter that best describes the statement. Write your answer on separate sheet.

1. What is Management?
   a. science
   b. art
   c. power
   d. science and art
2. A function of management by which subordinates is led to understand and contribute effectively and efficiently to the attainment of enterprise objectives.
   a. Planning
   b. Controlling
   c. Directing
   d. Organizing
3. He postulated a management theory make use of the step, scientific methods for finding the single best way for doing a job.
   a. Henry Fayol
   b. Frederick W. Taylor
   c. Joseph M. Juran
   d. W. Edwards Deming
4. A function of management involves process of measuring and correcting the activities of subordinates and the company itself to assure conformity to plans.
   a. Controlling
   b. Staffing
   c. Organizing
   d. Planning
5. The statements below define management except for:
   a. The force that runs an enterprise and is responsible for its success and failure.
   b. The performance of conceiving and achieving desired results by means of group effort.
   c. An art only and not important subject in business.
   d. Satisfying the economic and social needs by being productive for the human being, for the economy and for society.

What I Can Do

WORKSHEET 1: Nature and Concept of Management

1.Think of a difficult task which you, as a student must accomplish.
2.What are the steps needed to complete the said task?
3.Will the management theories discussed help you to be more efficient in completing your tasks? Explain your answer.

MODULE 2

What I Need to Know

In this module, you will discover that all organizations—public or private, large, medium-size, or small, profit or nonprofit—need good managers in order to accomplish their goals; that organizational management is, definitely, not an easy task; and that coordination, efficiency, and effectiveness are required to carry out.

The module contained lesson, namely:

Lesson 2 – Functions, Roles, and Skills of a Manager

Learning Competency:

- Explain the functions, roles, and skills of a manager.
  (LC Code: ABM_AOM11-I-a-b-3)

At the end of this lesson, you are expected to:

1. explain the functions, roles, and skills of manager;
2. identify the levels of management and managers; and
3. understand the responsibilities of a manager.

Lesson 2 Functions, Roles, and Skills of a Manager

An individual engaged in management activities is called a *manager*. It is safe to assume that organizational success depends upon managers who practice optimal utilization of their human and material resources, and who encourage high levels of performance, effectiveness, and efficiency among the individuals under their care.

What is It

Functions, Roles and Skills of a Manager

Managers supervise, sustain, uphold, and assumes responsibility for the work of others, in his or her work group, team, department, or the organization, in general.

Manager is an individual engaged in management activities such as supervising, sustaining, upholding, and assuring responsibilities for the work of others in his/her work group, team, department, on the organization in general.

Managerial Levels

Organization typically has three levels of management with their respective managers- top level managers, middle-level managers, and frontline or lower-level managers.

- **Top- Level managers** are the **strategic managers** who focus on long term organization concerns: its stability, development, progress, and over-all efficiency and effectiveness.

- **Middle -level managers** are **tactical managers** in-charge of the organization's departments. They formulate specific objectives and activities based on strategic goals set by top-level managers.

- **Lower-level managers** are **front-line operational managers**. They are responsible for supervising the organization's day to day activities.

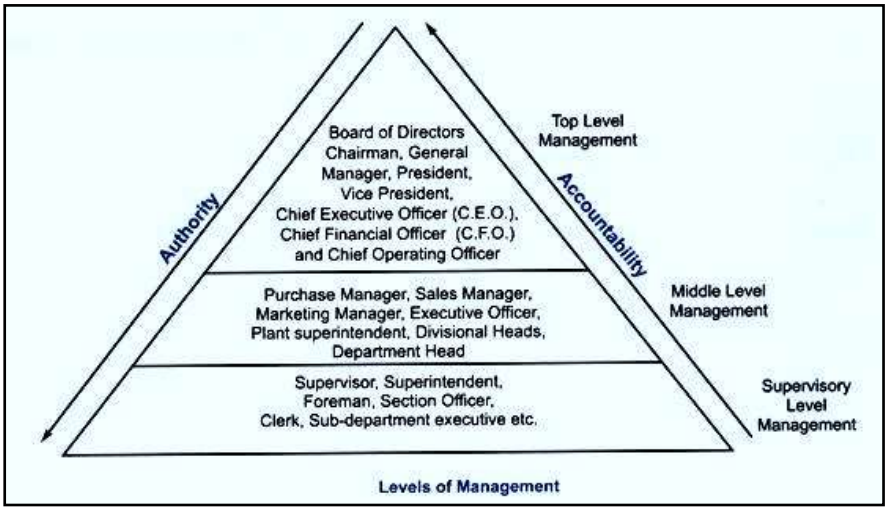


Figure 1.3 The Three Levels of Management

FUNCTIONS OF A MANAGER

A manager must perform functions like planning, organizing, staffing, directing, and controlling. All these functions are essential for running an organization smoothly and achieving enterprise objectives.

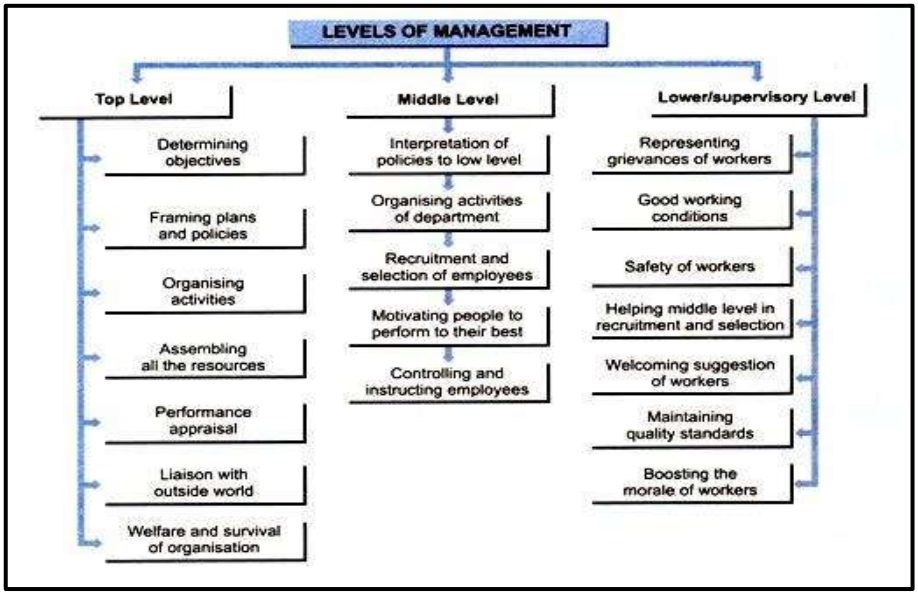


Figure 1.4 Managerial Functions

Role of Manager in an Organization

The manager [illegible] planner, coordinator, producer, and a marketer. The success of an organization will depend upon the caliber of the manager in utilizing the resources for achieving business goals.

A manager is a pivotal figure in the task of creating wealth. There are rapid changes in technology, methods of production, marketing techniques, financial set up and the manager should be competent enough to cope with the changes.

Managerial Roles the various roles played by managers, such as interpersonal, informational, and decision-making roles.

Categories of Managerial Roles according to Mintzberg	
Interpersonal	• Leader • Liaison • figurehead
Informational	• spokesperson • monitor • disseminator
Decisional or Decision-making	• disturbance handler • resource allocator • negotiator • entrepreneur

Managerial Skills:

A manager has to perform a number of jobs. It necessitates that a manager should have proper skills to perform different jobs. Managerial skills are conceptual, human and technical.

- **Conceptual skill** is the ability to analyze and solve complex problems. Conceptual skills are helpful in decision-making. Since all managers have to take decisions so these skills are essential for all managers, but these become more important as they make up the organizational hierarchy.

- **Human skill** is the ability to work well with other people.
  Managers with human skills can get best out of the people working with them. They know how to communicate, motivate, lead and inspire enthusiasm and trust. These skills are needed by managers at every level but top managers need them the most.

- **Technical skill** is the ability to one's expertise.
  A manager must have the necessary technical skills or the ability to work with the resources, tools, techniques, procedures etc. First line managers as well as many middle managers have involved in technical aspects of the organization's operations.

These skills can be depicted in a diagram:

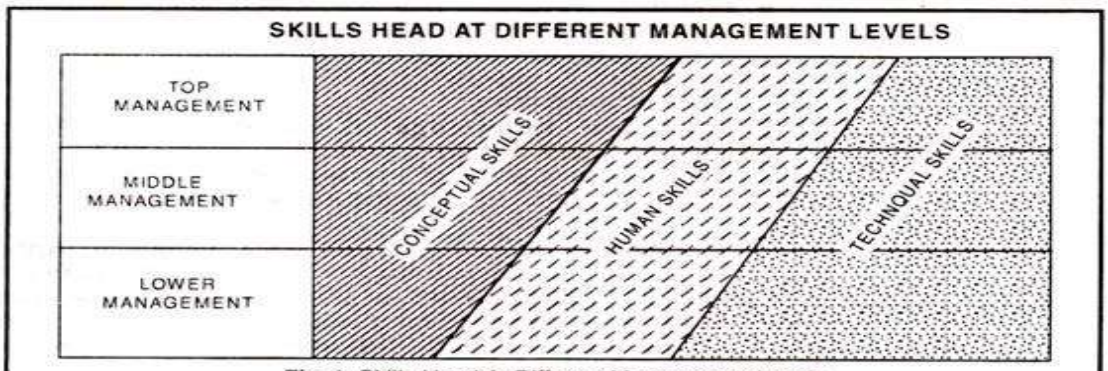


Fig. 1. Skills Used At Different Management Levels

What's More

ACTIVITY: **Understanding the foundations for Managerial success**.
Directions: Put a check mark in your chosen answer if you Agree or Disagree with the following statements. Support your answer of brief explanation. Copy and answer in a separate sheet of paper.

		Agree	Disagree
1.	Look after their self -interests first		

2.	Inspire their subordinates to do their best in assigned tasks		
3.	Can craft messages that could be understood clearly by subordinates		
4.	Have self-discipline		
5	Believe in using punishment to make subordinates follow		
6.	Work well with others		
7.	Do not believe in due process		
8.	Practice logical thinking before decision-making		
9.	Always consider the "general good"		
10.	Can listen what other seeks to communicate		
11.	Respect everyone and can maintain career advancement		
12.	Generally, maintains teamwork		

ACTIVITY: Demonstration of Managerial Success in an organization

Directions: Use coloring material and short bond paper to demonstrate how managers get involved with teams and teamwork:
such as team leader/supervisor, facilitator of a team acting a specific task force, helpful participant in a team project, and external coach/sponsor of a problem-solving team.

Correct positioning of the manager and the team members indicate your (student's) perceptions of the manager's involvement or role in teamwork

MODULE 3

What I Need to Know

In this module you will understand the role of business in the environment, and how the environment affects the firm.

In this module you will identify two main factors of environment that will affect in the performance of a firm or organization. All managers should take into consideration this forces or element surrounding environment in all aspects before planning.

The module is focused mainly on one lesson, specifically:

- Lesson 3 – The Firm and Its Environment

Learning Competency:

- Analyze the various forces/elements influencing local and international business environment using PEST and SWOT strategies.
  (LC Code: ABM_AOM11-Ic-d-4 and ABM_AOM11-Ic-d-5)

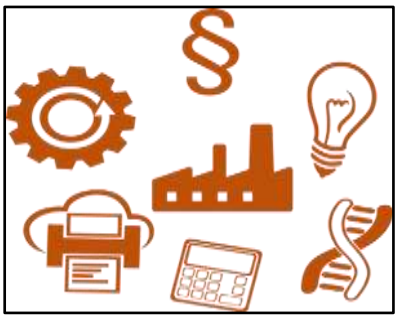
At the end of this lesson, you are expected to:

1. identify the various forces/elements of the firm's environment and summarize these forces using SWOT analysis;

2. describe the local and international business environment of a firm; and

3. realize the effects of various forces/elements in business and our environment.

Lesson 3 The Firm and Its Environment



A manager undertakes several functions from planning to controlling. He must take decisions for every type of activity. The decisions of the manager influence the working of an organization. Intelligence will help a manager in assessing the present and future possibilities for the business. He will be able to foresee the things in advance and take necessary decisions at appropriate time.

What is It

THE FIRM AND ITS ENVIRONMENT

Business firm may be visualized as an institution in society surrounded by environment example are various external forces influencing its functioning. It is said that business is a product of environment or Business is the creation of its environment.

Business Environment refers to the factors or elements affecting a business organization. It may be divided into the External and Internal Business Environments

Both external (outside) and internal (inside) business environment factors and elements may affect the business firm's performance, either positively or negatively.

The **external or environmental factors are beyond the control** of the business firm and the success of the firm will depend to a very large extent on its adaptability to the environment its ability to properly design and adjust the internal factors/variables to take advantage of the opportunities and to combat the threats of the environment.

COMPONENTS OF THE EXTERNAL BUSINESS ENVIRONMENT

A. GENERAL EXTERNAL BUSINESS ENVIRONMENT includes the: *economic, sociocultural, politico legal, demographic, technological, and world and ecological situations.*

- ***Economic situations*** may affect management practices in an organization. Inflation, rate of interest, changing options in stock market, people's spending habit are some examples of factors elements of economic situations.
- ***Sociocultural situations*** include the customers' changing values and preferences; customs can also affect management practice s in the companies.
- ***Politico-legal situations*** refers to national or local laws, international laws, and rules and regulations that influence organizational management.
- ***Demographic situations*** may also influence some managerial decisions in organization such as gender, age, education level, income, number of family members geographic origin, etc.
- ***Technological situations*** of companies involve the use of varied types of electronic gadgets and advanced technology such as computers, microprocessors and others have revolutionized business management.

- ***World and ecological situations*** are related number of global competitors and markets, as well as the nature and conditions of the changing natural environment.

All of these must be considered as managers plan, organize, staff, lead and control their respective organizations.

B. GENERAL SPECIFIC BUSINESS ENVIRONMENT *includes* *stakeholders, customers, suppliers, pressure groups, investors or owners and employees.*

- ***Stakeholders*** are parties likely to be affected by the activities of the organization.
- ***Customers*** are those who patronized the organization's products and services.
- ***Suppliers*** are those who ensure the organization's continuous flow of needed and reasonably priced inputs or materials required for producing their goods and rendering their services.
- ***Pressure groups*** are special-interest groups that try to exert influence on the organization's actions and decisions.
- ***Investors or owners*** provide the company with the financial support it needs.
- ***Employees*** are comprised of those who work for another or for an employer in exchange of salaries/wages or other considerations.

The business firm consists of a set of internal factors and is confronted with a set of external factors. This is the relation between a firm and its environment. The **internal factors** are regarded as **controllable factors**, as the firm has got control over these factors.

COMPONENTS OF THE INTERNAL BUSINESS ENVIRONMENT

An organizational Internal business environment is composed of its: *resources, research and development, production, procurement of supplies and products and services it offers.*

The organization's internal environment is must also be subjected to internal analyses, internal strengths and weaknesses, opportunities and threats (SWOT)with regards to its:

- Resources (financial. Physical, mechanical, technological, and human resources
- Research and development endeavors
- Production of goods
- Procurement of supplies (materials, inputs and finance)
- Products and services

All of these must be considered prior to organizational planning

ENVIRONMENTAL FORCES AND ENVIRONMENTAL SCANNING

ENVIRONMENTAL SCANNING involves the seeking for and sorting through date about the organization's environment. It is the process of conducting research through surveys, observation, and other methods, and gathering and analyzing information for the organization.

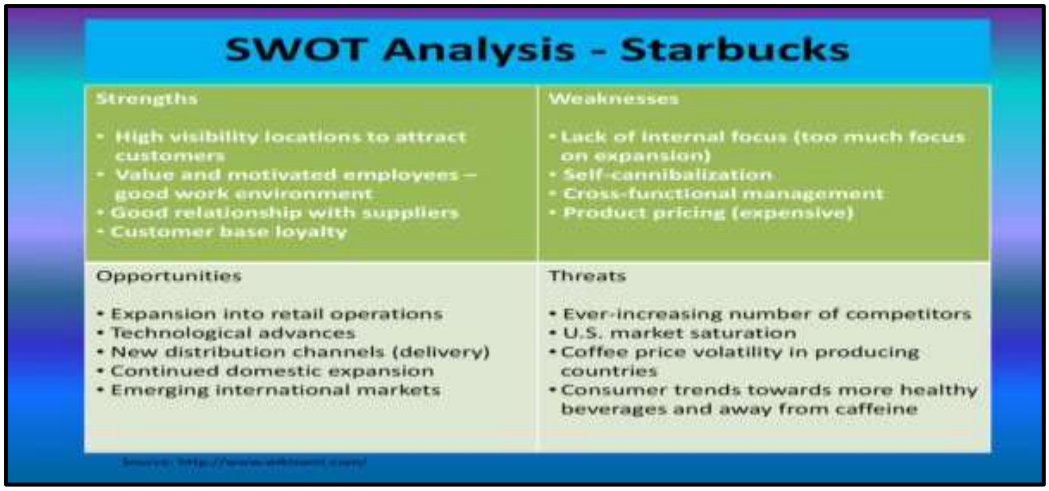
COMPONENTS OF ENVIRONMENTAL SCANNINNG

- ✓ Developing a competitive Mindset -adapting to environmental uncertainties.
- ✓ Considering Business scenarios- consider both unfavorable and favorable future conditions.
- ✓ Business Prediction or business forecasting
- ✓ **SWOT Analysis**- SWOT analysis or matrix is one of the most structured and used planning method to evaluate business ventures.
- ✓ Benchmarking – the process of measuring and comparing one's own products, services, and practices with those of the recognized industry leaders to identify areas for improvement.

Figure 3.1 The SWOT ANALYSIS or MATRIX

SWOT ANALYSIS- is a basic straight forward model in environmental scanning which helps the company identifying four key elements:

- **Strengths** – it is the quality that produces a competitive advantage with the company. It belongs to internal environment and expects to affect the company in a positive manner.
- **Weaknesses**- It is quality that puts the company at a disadvantage. It belongs to internal environment and expects to affect the company in a negative manner.
- **Opportunities** – it is a factor in the external environment that is expected to work favorably and positive effect towards company operation.
- **Threats** - it is a factor in the internal environment that is expected to have a negative effect on the company operation.



SAMPLE SWOT ANALYSIS

The Local and International Business Environment of the Firm

The **Worldwide Environment** refers to the external business environment (such us sociocultural, natural, politico-legal and economic, technological factors) around the world.

While the **Globalization** refers to changes in the dimensions of external environment that result increased interdependence and integration among people and integration among people and organizations around the world.

Understanding the local and international business environment of the firm requires managers of organizations to sharpen their cultural intelligence.

Cultural Intelligence is an individual's ability to favorably receive and adjust to an unfamiliar way of doing things. This will enable them to develop their ability to accept and adapt to different cultures, both local and international, that may affect the organization to which they belong.

Anthropologist Edward T. Hall, as cited by Schermerhorn (2008) noted that the way people approach and deal with the **time** varies across cultures.

1.**MONOCHRONIC CULTURES** refer to cultures where people tend to do one thing at a time. It emphasizes punctuality and sticking to set rules.

2.**POLYCHRONIC CULTURES** are cultures more flexible on time and it is used to accomplish many different things at one time.

The culture of different countries is rooted in their history, religion, traditions, beliefs, and deep- seated values, and because of these, managing globally can be very complicated.

And beside the cultural environment, the politico-legal and economic environments must also be considered. Some countries have stable laws and good political climate while others have an opposite -unstable and risky political climate.

What's More

Directions: Identify the different external environment factor. Write only the letter code of your chosen answer.

EF - Economic Factor
SF - Socio-cultural Factor
PF - Politico-legal Factor
DF – Demographic Factor
TF – Technological Factor
WF – World and ecological Factor

_____ 1. People spending habit
_____ 2. Ethnic and racial diversity
_____ 3. Peace and order situation
_____ 4. El Niño and El Niña phenomena
_____ 5. New inventions and discoveries

What I Can Do

ACTIVITY 1 SWOT ANALYSIS. Write your answer in separate sheet.

Supposed you are the Marketing Manager of Triple C Food Corporation, a fast-food chain in the Philippines known for high quality hamburgers.

Examine each the situations below and write **S** if it is strength, **W** if a weakness, **O** if opportunity, **T** if it is a threat, and **X** if it will not affect your company at all. Write your answer in a separate sheet of paper.

_____ 1. The Department of Health has undertaken a very aggressive campaign against the cholesterol.
_____ 2. Your company has excellent management labor relations.
_____ 3. The government has announced its plans of lowering prices of beef by 1.5% next month.
_____ 4. There is a growing number of working women in the Philippines based on the latest statistics.
_____ 5. There is very stiff competition among fast-food chains in the Philippines.
_____ 6. As compared to your competitors, your prices are 10% lower.
_____ 7. Your competitor bought a new equipment from Germany which can decrease cholesterol content in food by as much as 20%.
_____ 8. Most customers complain of your failure to maintain cleanliness of your comfort rooms.
_____ 9. You have limited parking space.
_____ 10. Business taxes will increase by 3% next year.

MODULE 4

What I Need to Know

In this module you can now analyze the problems and challenges facing less-developed countries and begin to understand why some countries have been able to go through process of economic and human development.

This module is mainly focused on one lesson specifically:

Lesson 4: Phases of Economic Development

Learning Competency:

- Analyze the forms and economic roles of business organizations
- Differentiate the phase of economic development of its impact to business environment
  (LC Code: ABM_AOM11-Ic-d-8)

At the end of this lessons, you are expected to:

1. explain the role of business in relation to the economy;

2. discuss the different phases of economic development; and

3. understand the impact of economics to business environment.

Lesson 4 Phases of Economic Development

What is It

PHASES OF ECONOMIC DEVELOPMENT

Economic development is a total process which includes not only economic growth or in the increase in the amount of goods and services produced by the country's economy but also consider the socio-cultural, political, and spiritual aspect aspects of the country's growth.

Although material wealth accumulation is among the concerns of genuine economic development. Its greater concern is the total improvement of the quality of people's lives. This, in turn is related to sustainable economic development issues in a country which greatly influences business management.

Sustainable economic development ensures that the present needs of a particular generations to also fully met without endangering the ability of future generations to also meet their own needs fully.

Business managers must be conscious of their decision s to avoid the abuse of ecological elements- air, water, and soil -as this will threaten sustainable economic development.

Economic development phases/stages in a particular country includes economic growth, improvement of human development index, availability of benefits provided by science and technology, societal improvement of the opportunities, and general welfare of its members.

Economic growth means increase in the given amount of goods and services produced by the country's earnings.

Human development index is a measure of country's socio-economic development based on data regarding life expectancy, at birth, educational attainment, literacy, and adjusted real income per capita.

PHASES OF ECONOMIC DEVELOPMENT

The transition of economic development from one phase to another is usually gradual, and a country may find itself under economic phases at different point s of time.

Economic development is only possible if a country has maximized the used of its human and natural resources. Since these resources differ greatly in quality and quantity, some countries, experience drastic development.

CRITERIA IN CLASSIFYING PHASES OF ECONOMIC DEVELOPMENT

A. Means of livelihood	B. Extent of Economic Activity	C. Medium of Exchange
1.Hunting and fishing Phase – our ancestors obtained food by hunting and fishing taken directly from the mountains, seas and the bounties of nature	***1. Household economy***- The needs of the family were satisfied largely by the efforts and contributions of all the family members.	***1. Barter Economy*** – during primitive era, exchange was done through barter with was the direct exchange of goods for goods, services to services or services for goods.
2.Pastoral Phase – the creation of groups and the presence of a large number of livestock have made man settle in an area for a longer period of time.	***2. Village Economy***- When several families organize a village, economic and social relations spread among the various families.	***2. Money Economy***- Through time and evolution, money was used, as a medium of exchange. Consequently, a monetary system evolved.

3.Handicraft Phase- Items are made by skilled and trained manual laborers. They made excellence workmanship of sculpture, jewelry, furniture porcelain and other wares.	***3. National Economy***- this phase involves the grouping of village into bigger and broader social Units. It develops economic activities on a nationwide scale.	***3. Money and Credit Economy***- When transactions continued to increase in volume and frequency, it became imperative to allow others to purchase one's good or engage one's services With payments to be paid at some future date.
4.*Agricultural Phase*- Man's need continuous supply of food led to the development of agriculture and the concept of land ownership. Man begin to work as farmer and fisherman.	***4. International Economy***- with better and modern means of transportation and communication, a country expands its economic relationship through international trade and diplomatic cooperation.	
5.Industrial Phase- the presence of manufacturing companies in the certain areas of Metro Manila It was the period when machineries were used in factories and industrial plants.		

All countries have economic problems. We have economic problems because of our resources, money, materials, and machines are limited while our human needs are unlimited. The unfair distribution of productive resources and population explosions have created more economic problems.

Some of economic problems to address are income poverty, hunger, disease, lack of adequate shelter, and exclusion, while promoting gender equality, education, and environmental stability.

The National Economic and Development Authority (NEDA) has laid out the Philippine Development Plan (PDP) 2011-2016 which "adopts a framework, which is high growth that is sustained generates mass employment and reduces poverty." The PDP is focused on the following areas:

1. Pursuit of Inclusive Growth
2. Macroeconomic Policy
3. Competitive Industry and Services Sectors
4. Competitive and sustainable Agriculture and Fisheries Sector
5. Accelerating Infrastructure Development
6. Resilient and Inclusive Financial Sector
7. Good Governance and Rule of Law
8. Social Development
9. Peace and Security
10. Conservation, Protection, and Rehabilitation of the Environment and Natural Resources

It is evidently from the PDP focused areas as they cover not only in economic and industrial goals of the Philippines but also social, environmental, and peace and security aspects.

FORMS OF BUSINESS ORGANIZATION

Basically, the role of business is to produce goods and services which consumer needs, therefore business has relationship with the economy.

The **business firm** produces goods and services from the factors of production provided by society. Consumer, in turn buy these goods and services. Business firm thus contribute to the country's economic growth.

One measure of economic growth is the **Gross National Product (GNP**) defined as the total market value of goods and services produced by a country in any given period.

A business enterprise is part of larger economic system. Other groups and individuals affect the way business is managed. They are the owners of the business, employees working for the enterprise, customers buying the goods and services selling machinery, equipment, or materials to the enterprise.

The responsibility of a business to the community is a general one. The business should strive to promote the social, economic, and cultural welfare of the community.

Kinds of Business

1. **INDUSTRIES** – involved the conversion of raw materials into finished products or goods and the application of labor upon raw materials so that the greater usefulness becomes possible after the process.
   Manufacturing industries use materials and supplies turned out by the extractive industries and changed these raw materials into various articles of materials for production of goods and new products.
   Examples: Nokia, Honda, Sony, San Miguel Corp., Shell, Purefoods, etc.

2. **COMMERCE** – Involves the process of buying and selling where goods are moved from point of production to the point of consumption.
   Examples: Shoe Mart, National Bookstores, Webster, Robinsons Department Store
3. **SERVICE ENTERPRISE**- are primarily concerned with the satisfaction of the needs and wants of the customers.
   a. Public and community services
      Examples: MERALCO, transportation companies, news paper publisher

b. Professional and trade services
   Examples: repair shops, building contractor, law offices
c. Recreation services
   Examples: TV stations, theaters, movie productions
d. Personal services
   Examples: restaurants, schools, beauty parlors

Forms of Business Organization – may depend on its purpose, nature of operations and resources. However, a business organization's firm may change with the changing times and the demands they present.

CHANGING FORMS OF BUSINESS ORGANIZATIONS

1. Simple business organizations – is an organization with few departments, centralized authority with wide span of control, and with few formal rules and regulations.

2.Functional business organizations – group together people with similar or related duties, practices delegation of authority to functional managers like the personnel managers, sales managers or financial managers but allow CEOs to retain authority for strategic decisions.
3.Divisional business organizations – are made up semi-autonomous, separate business units, with a division head responsible for his or her unit's performance.
4.Profit business organization-are organizations designed for the purpose of achieving their goals and achieving stability through income generation and profit-making.
5.Non-profit organizations are organizations designed to give service to clients without expecting monetary gains or financial benefits for their endeavors.
6.Open/Flexible business organizations are formed to meet today's changing work environment. They include team structures, matrix business organizations, project business structures, boundaryless business organizations, and virtual business organizations.

Other basic forms of business that are legal in the Philippines are:
These are forms of business organizations according to ownership

1.Single Proprietorship- a form of business ownership organized and managed by only one person.
2.Partnership-a business organization where to or more persons contribute money, property, or talent, to carry on a business.
3. Corporation- is an artificial being created by the operation of law, having the rights of succession and the powers, attributes and properties expressly authorized by law or incident to its existence.
4. Cooperative - is a private business owned and operated by the same people that use its products and or services. The purpose of a cooperative is to fulfill the needs of the people running it.

Different organizations have different preference s as to business form that is appropriate for their needs and the purpose of their existence.

Managers, therefore, must be creative in finding ways to structure or design and organize work in their respective firms.

What's More

Activity: Directions: Modified TRUE Or FALSE. If the statement is TRUE write **O**. If the statement is FALSE write **X**. Write your answer in a separate sheet of paper.

_____1. In any business, whether large or small there must be grouping of activities.
_____2. Service enterprise involves the conversion of raw materials into finished products.
_____3. Man is common element in an organization.
_____4. Economic development has a greater concern to improve the quality of peoples live.
_____5. Any unlawful activity like gambling, smuggling can be considered business.
_____6. The success of business directly affects the world's economy.
_____7. We have economic problems because human needs are unlimited while our resources are limited only.
_____8. Profit is the main objectives of the business which distinguishes from charitable institution.
_____9. The role of the government is to provide necessary policies and infrastructures to speed up the growth of the economy.
_____10. The manager should conceptualize the nature of the business and is in better position to introduce innovations for business success.

What I Can Do

Directions: Identify five businesses in your area. Write about their contributions (at least three) to the economic growth of your area. Do this in a separate sheet of paper.

Name of Business: _____ Contributions: 1. 2. 3
Name of Business: _____ Contributions: 1. 2. 3.

Name of Business: _____ Contributions: 1. 2. 3.
Name of Business: _____ Contributions 1. 2. 3.
Name of Business: _____ Contributions 1. 2. 3.

MODULE 5

What I Need to Know

In this module you will understand the importance of planning concepts in business success or even in any organization. This module will explain that managing an organization is to be pursued vigorously, planning will be an important and necessary activity. Managers who plan are afforded with the opportunity to carefully analyze situations which directly contribute to decision- making. Plans provide the manager with the opportunity to concentrate on implementation.

This module will discuss:

- Lesson 5 – Definition and Nature of Planning and Types of Plans

Learning Competency:

- Discuss the nature and levels of planning and types of plans.
  (LC Code: ABM_AOM11-Ie-10)

At the end of this lessons, you are expected to:

1. discuss the nature of planning;

2. compare the different types of planning; and
3. realize the importance of planning in business success.

Lesson 5	Planning

Planning is the first management function and a very essential component of management. Without his basic function the other four functions (organizing, staffing, directing, and controlling) of the manager cannot be tackled efficiently and effectively.

DEFINITION AND NATURE OF PLANNING

Planning is a logical and systematic approach of formulating the objectives, programs, policies procedures, budgets, rules and regulations, and other types of plans.

Planning is a process that involves the setting of the organization's **goals**, establishing **strategies** for accomplishing those goals, and developing **plans** of actions or means that managers intend to use organizational goals.

Goal- setting the identification of target of desired ends that management wants to reach.

Vision a mental image of what the organization will be in the future, as desired by the company management and employees.

Mission basic purpose of an organization and range of their operations.

Objectives steps needed in order to attain desired end.

Program it is the actual course of action designed to carry out the established objective.

Policies these are guidelines. They indicated what is permitted and what is not permitted.

Procedures are series of related steps expressed in chronological order for specific purposes.

THE NATURE OF PLANNING

1. ***Contribution to purpose and objectives.***
   Planning is required to facilitate accomplishment of business purpose and objectives. Planning is a process that involves the setting of the organization's

goals, establishing strategies for accomplishing those goals and developing plans of actions that managers intend to use to achieve said organizational goals.

2. ***Planning as the first basic functions.***
   Since managerial functions of organizing, staffing, directing, and controlling are designed to support accomplishment of business objectives, planning is logically performed before the execution of all other managerial functions.

3. ***Planning is the function of all managers.***
   Planning is a function of all managers, although the character and scope of planning will differ from one authority to another.

4. ***Planning for efficient organization.***
   Efficiency of plans measured by contribution to its objectives, if it is good, it will lead to the goal.

The following present the importance of Planning:

- It provides a direction to all the organization's human resources: managers and employees and it reduces uncertainty and minimize waste of time, effort and resources.
- Planning is important because it reduces uncertainty: it compels mangers to consider future events that may affect their company.
- Minimizing of wastes will result if there is proper coordination of activities due to planning; negative practices, effectiveness, and inefficiencies could be easily detected and can be corrected or eliminated.
- Establishing goals and standards during planning may be used for controlling, another necessary managerial function.

Without planning goals and standards will be absent and controlling will not be possible.

Difference between Goals and Plans

Goals are the targets that management desires to reach while **plans** are the means or actions which management intends to use to achieve the said goals/targets

TYPES OF PLANS

Organizational Plans- a comprehensive plan for the entire organization covering time frame, specific purpose, frequency of use, and others.

- ***Comprehensiveness-*** refers to the completeness of planning coverage.
  A plan maybe long-term, or covering more than three years, or short-term, covering one year or less.
- ***Specificity*** -refers to the detailed, clearly defined plans wherein objectives are clearly stated and could easily be understood.
- ***Frequency*** of use refers to the number of times or instances a plan may be used.

Strategic Plan- plans that establish the organization's overall goals and apply to the entire firm.

Tactical Plan – plans that is prepared to provide guide to the realization of the goal and is designed to support the strategic plan.

Operational Plan- plans that apply to a particular unit area only; their scope is narrow and prepared by lower-level managers.

Long-term plans- plans that go beyond three years. The short-term plans made by subordinate manager must be with reference to long-term plan.

Short Term Plans- plans that cover one year or less. Must contribute to the achievement of the long-term plans.

Directional Plans- plans that are flexible or give general guidelines only.

Specific Plans- plans that are clearly stated and which has no room for interpretation; language use must be very understandable.

Single-use plans – plans used or stated once only as this applies to the entire organization: refer to the operational plans of the firm.

Standing plans- plan that are ongoing; provide guidance for different activities done repeatedly; refer to the identified activities of operational plans.

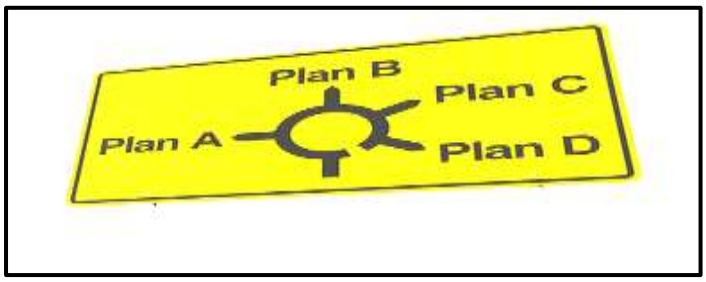


Figure 5.1 In case of emergencies organizations should have alternative plans

https://leavinglaw.wordpress.com/2016/02/15/when-leaving-law-plans-dont-work-out-moving-to-plan-b/

Schermerhorn (2008) gave five steps in the planning process:

1. Define your goals/objectives by identifying desired outcome/results in very specific ways.
2. Determine where you stand in relation to set goals/objectives; know your strength and weaknesses.
3. Develop premises regarding future conditions; anticipate future events, generate alternative "scenarios" for what may happen. Identify for each scenario things that may help or hinder progress toward your goals/objectives.
4. Analyze and choose among action alternatives; list and carefully evaluate possible actions and choose the alternative most likely to accomplish goals/objectives.
5. Implement the plan and evaluate results; take corrective action and revise plans as needed.

PLANNING AT DIFFERENT LEVELS IN THE FIRM

Different levels in the firm are all engaged in planning, however all the resulting plans must be related to one another and directed toward the same goals.

Top-level Management Planning	**Strategic Planning** starts with defining the organization's goals or objectives. Maintenance of organizational stability, culture, values and growth improving its productivity, profitability, effectiveness, and efficiency, among others. As earlier mentioned, top -level managers are responsible for the organization's strategic planning which involves making decisions about the organization's long-term goals and strategies.	CEOs, company presidents, or the organization's senior executive develop and execute the said strategic plan.
Middle-level Management Planning	**Tactical Planning** refers to a set of procedures for changing transforming broad strategic goals and plans into specific goals and plans that are applicable and needed in one unit/portion of the organization. It is focused on major actions that must be done by a unit to contribute its share for the achievement of the strategic plan.	The Functional Managers, Production Line Managers, Department Heads are involved in tactical planning.
Frontline/Lower-level Management Planning	**Operational Planning** involves identifying the specific procedures and processes required at the lower levels of the organization. This also involves routine task or tasks repeatedly done by the organization's lower-level units.	The Unit Managers, First Line Supervisors are the one executing the operational planning.

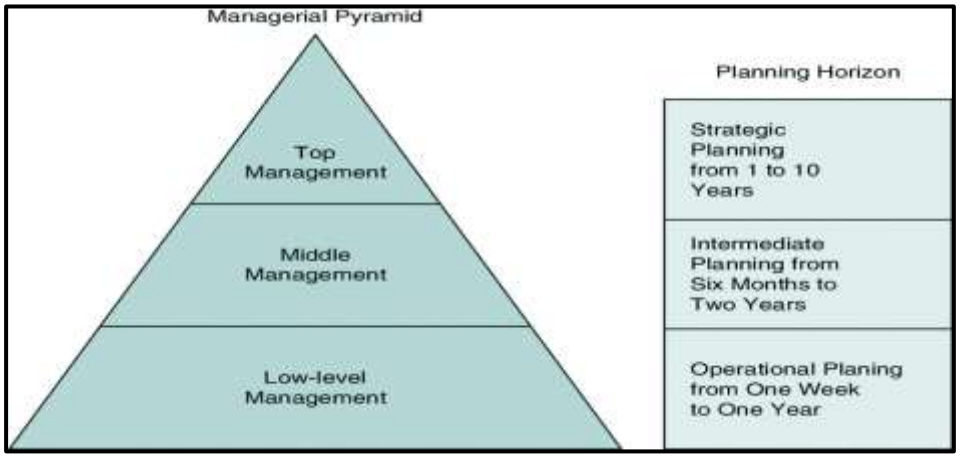


Figure 5.3 Management Levels and types of planning

What's More

A. **Directions:** TRUE OR FALSE. Carefully read the statements below. If the statement is correct write **True** if the statement is incorrect write **False**. Write your answer on the separate sheets.

_____1. Planning in different level of management have the same purposes and functions.
_____2. Manager organizes, staffs, directs, and controls to attain the objectives of plans made.
_____3. Planning is done at different levels in the firm, but all these must be integrated and directed towards the achievement of the organization's goal.
_____4. Managers failed in planning because of lack of real commitment in planning.
_____5. Plans can be more effective by recognizing the planning barriers and making use of planning aids.

What I Can Do

ACTIVITY 5.1 CASE STUDY: PLANNING

NATIONAL BOOK COMPANY

Delia delos Reyes was the founder and president of publishing company specializing in collegiate textbooks. Because of her personal ability, expertise, and effective marketing promotion, the company grew rapidly and its sales of P10,000 reach P10Million five years later. The publication production and sales force also increased.

However, the company was faced a serious problem. New and old employees were making conflicting decision, one of the Delos Reyes partners suggested that the company needed planning and clear out policies and programs to guide decision making, but the president was not impressed. She maintains that if she concentrates in formulating plans and policies today, she might not have a company tomorrow. She believes it is best to solve the problems as they happen.

QUESTIONS:

1.With whom you align yourself with? Delia delos Reyes or business partner?
_____
_____

2.What are the good points in their arguments?

Delia delos Reyes	Business partner

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

CASE STUDY is a study of an organization or individual in a particular situation, usually based on actual business situations, with a view to learning what factors were responsible for success or failure.

CASE STUDY GRADING RUBRIC

	CRITERIA				POINTS
	Outstanding (16-20)	Very Satisfactory (11-15)	Satisfactory (6-10)	Poor (0–5)	
Explanation	A complete response with a detailed explanation	Good solid response with clear explanation	Explanation is unclear	Misses key points	
Demonstrated knowledge	Shows complete understanding of the problem, ideas and processes	Shows substantial understanding of the problem, ideas and processes	Response shows some understanding of the problem	Response shows a complete lack of understanding of the problem	
Requirements	Goes beyond the requirements of the problem	Meets the requirements of the problem	Hardly meets the requirements of the problem	Does not meet the requirements of the problem	
Quality of recommendations	Recommendations clearly indicate a decision Recommendations are actionable and realistic	Recommendations substantially indicate a decision Recommendations are actionable and realistic	Recommendations not clearly indicate a decision. Recommendations can be actionable but not realistic	Recommendations not clearly indicate a decision. Recommendations are neither actionable nor realistic	
				Total	

MODULE 6

What I Need to Know

In this module you will learn that planning can be more effective by using different techniques, and tools and having a good business decision-making.

In this lesson various quantitative and scientific techniques will be discussed to aid the manager in his planning process. And these techniques can also be used in in the decision- making process.

This module is mainly focused on one module, specifically:

- Lesson 6 – Planning Techniques and Tools and their applications and Decision making

Learning Competency:

- Apply appropriate planning techniques and tools and business decision making
  (LC Code: ABM _AOM11-Ie-g-13)

At the end of this lessons, you are expected to:

1. apply appropriate planning techniques and tools;

2. understand the decision-making process; and

3. formulate a decision from several alternatives.

Lesson 6 Planning Techniques, Tools and Business Decision Making

What is It

PLANNING TECHNIQUES AND TOOLS AND THEIR APPLICATIONS

There can be different types of goals with varying degrees of importance and timespans. But one thing that remains common is devising a plan that is efficient enough to help achieve these goals. Creating an effective planning tool will be possible to achieve goals.

In your professional and personal lives, you would have certain objectives. Planning allows you to convert your targets into achievements. It helps you devise a

mechanism and chart a course for reaching your set goals. Hence, the importance of planning is paramount, and it requires an in-depth understanding of the requirements in terms of resource allocation and time management.

For effective planning in today's dynamic environments, different techniques and tools must be used, such as:

1.FORECASTING according to Schermerhorn (2008) forecasting is an attempt to predict what may happen in the future.

- All planning types without exception, make use of forecasting.
- Under this technique, past and present or current information is used to predict future events or conditions.
- Forecasts used may either be quantitative or qualitative
  Quantitative forecast used mathematical calculations and statistical analyses of surveys or research.
  Qualitative forecast based on opinions of prominent economist.

However, these are just aids for planning, forecasts are predictions and may be inaccurate, at times due to errors of human judgment.

2.CONTINGENCY PLANNING contingency factors may offer alternative courses of action when the unexpected happens or when things go wrong.

- **Contingency plans must be prepared by managers** ready for implementation when things do not turn out as they should be.
- Contingency factors called **"trigger points"** indicate when the prepared alternative plan should be implemented.

3.SCENARIO PLANNING is a planning for future states of affair s is a long-term version of contingency planning.

- Alternative plans must be prepared in order to meet changes or challenges in the future.an organization can make necessary adjustments in their strategies ang challenges in the future.
- Some challenges and changes that may arise in future scenarios like: environmental pollution, human rights violations, climate and weather changes, earthquake damages to communities, and others.

4.BENCHMARKING a planning technique that generally involves external comparisons of a company's practices and technologies with those of other companies.

- **External benchmarking** is to search for best practices used by other organizations that enabled them to achieve superior performance.
- **Internal benchmarking** is also a practiced by some organizations when they encourage all their employees working in their different work units to learn and improve by sharing one another's best practices.

5.PARTICIPATORY PLANNING is a planning process that includes the people who will be affected by the plans and those who will be asked to implement them in all planning steps.

Other planning techniques and tools that can be used:

- **MANAGEMENT BY OBJECTIVES (MBO)** Peter Ducker used this term in 1954 and applied it is an approach to planning. MBO drawn a great deal of attention among the academics and practitioners. MBO is an approach to management initiative and prevent working at cross -purposes, or indeed, for no purpose at all. It is a way to help managers accomplish their job within the framework of organization needs and resources.

- **BREAK EVEN ANALYSIS** -break even charts are used for planning purposes and almost every manager makes a profit plan and break- even analysis is useful in developing it.

  Using the **break-even charts**, a break-even point, that is, the point at which total cost equal total revenue, can be determined. Using this chart, a manager can say whether the company can sell enough products to break-even and plan accordingly.

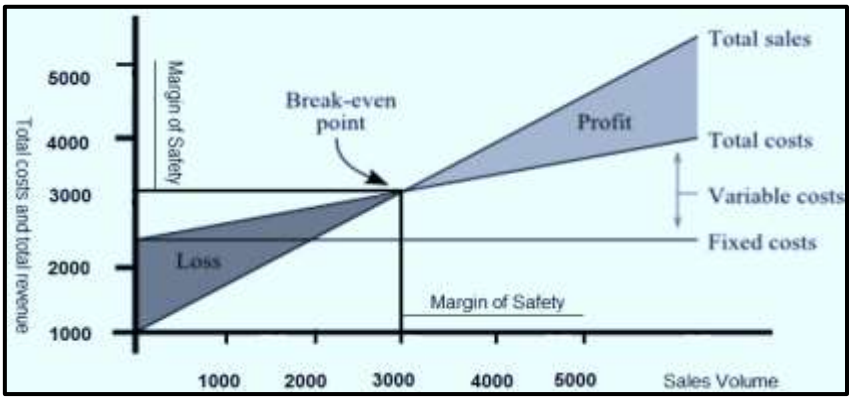


Figure 6.1 Break-even Chart

- Some organizations use **Gantt Chart** to properly schedule production processes and allocate resources

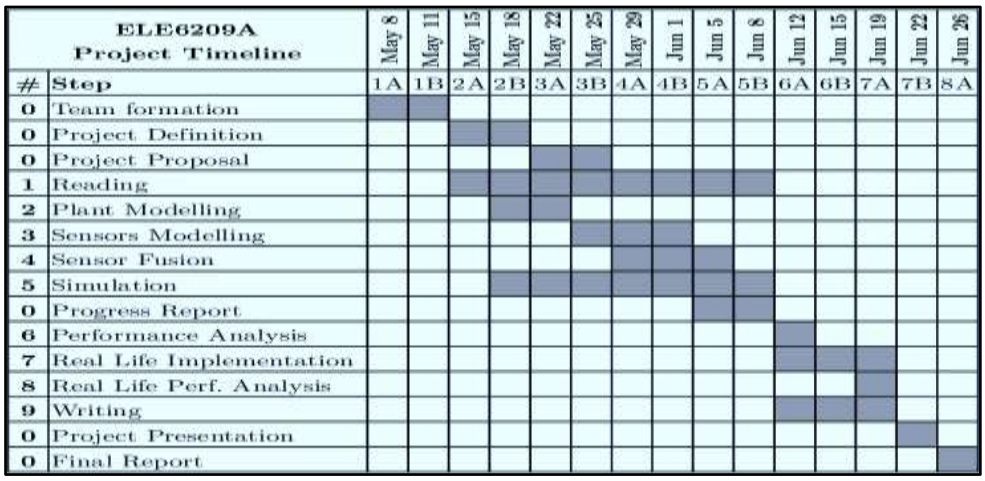


Figure 6.2 Gantt Chart

DECISION-MAKING

Decision-making is the process of choosing a specific procedure or course of action from among several possible alternatives. In the business world, a great investment in time, economy, effort, personnel, and materials may be involved in arising at a **decision.** The extent to which these things are involved, as well as the total effect of their involvement, depend on the business level at which the decision is made.

TYPES OF DECISIONS

1.Structured or programmed decision- a decision that is repetitive and can be handled using a routine approached.
Example: A restaurant customers complains about the dirty utensils the waiter has given him. This is not an unusual situation, and therefore, standardized solutions to such problem may be readily available.

2. **Unstructured or nonprogrammed decisions**- applied to the resolution of problems that are new and unusual, and for which information is incomplete.
Example: Increase in advertising expenditure, effective salesmanship, upgraded technology, quality controls, brand image and reasonable prices are expected to increase sales and profits. If, despite all this, profits are declining, it requires immediate decision-making and such decisions are non-programmed decisions.

TYPES OF DECISION-MAKING CONDITIONS

1.**Certainty conditions**- ideal conditions in deciding problems; these are situations in which a manager can make precise decisions because the results of all alternatives are known.

2. **Risk or uncertainty conditions** -compel the decision maker to do estimates regarding the possible occurrence of certain outcomes that may affect his or her chosen solution to a problem.

THE DECISION - MAKING PROCESS ACCORDING TO ROBBINS AND COULTER

Step 1: Identify the Problem
The problem may be defined as a puzzling circumstance or a discrepancy between an existing and a desired condition.

Step 2: Identify the Decision Criteria
These are important or relevant to resolving the identified problem.

Step 3: Allocate Weights to the Criteria
This is done in order to give the decision-maker the correct priority in making the decision.

Step 4: Develop Alternatives

Requires the decision-maker to list down possible alternatives that could help resolve the identified problem

Step 5: Analyze the Alternatives

Alternatives must be carefully evaluated by the decision-maker using the criteria identified In step 2.

Step 6: Select an Alternative

The process of choosing the best alternatives or the one which has the highest total points in Step 5

Step 7: Implement the chosen Alternatives

This step puts the decision in action.

Step 8: Evaluate Decision Effectiveness

The last step and involves in the evaluation of the outcome or result of the decision if the to see if the problem was resolved.

Directions: Analyze each situation and identify what type of decision to be used. Write **PD** if Programmed decision and **NPD** for Nonprogrammed decision. Use the given chart as your guide.

Characteristics	**Programmed Decision**	**Nonprogrammed Decisions**
Type of problem	structured	unstructured
Managerial level	lower level	upper level
Frequency	repetitive	new, unusual
Time frame for solution	short	Relatively long
Solution relies on	procedures, rules and policies	judgment and creativity

_____1. Investing in a new unproven technology
_____2. Acquiring a company
_____3. Reorder office supplies
_____4. Employee coming in late habitually
_____5. Periodic reorder of inventory
_____6. Changing strategies direction
_____7. Moving into new market
_____8. Monthly preparation of expense reports
_____9. Expansion of business
_____10. Counting and balancing cash every morning before any cash transactions.

What I Can Do

ACTIVITY 6.1 CASE STUDY: DECISION- MAKING

Attorney Lorna Corona was the general manager of their family- owned publishing company. Subordinates described her as an ideal boss who knew the "ins and outs' of their business, who focused on long-term concerns of their company, emphasizing maintenance of stability, development, progress, and overall efficiency and effectiveness. She too, exhibited emotional intelligence that enabled her to maintain interpersonal relationships with everyone, in both internal and external environments of their organization. Since everyone was happy and satisfied, their company succeeded in achieving their goals. In1999, Lorna had to give up her position because of severe injuries she suffered after a vehicular accident. Her parents gave the task of managing their company to her younger brother, Gerald who was her assistant general before the said vehicular accident.

Despite being knowledgeable in managing their publishing company, Gerald did not show emotional intelligence. He often had conflicts with other managers and subordinates: lacked good relations with customers and other companies' managers; and could not calm himself quickly when angry and under pressure during problematic situations. These circumstances caused dissatisfaction among the employee of their company, hence affecting their efficiency and productivity. Other stockholders, too, were negatively affected. In 2009, their company had to close the shop.

QUESTIONS:

1.Examine your tendencies. Do you have emotional intelligence? Explain your answer.

_____

_____

2.Can you identify problem? State the problem.

_____

_____

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

MODULE 7

What I Need to Know

In this module after planning, organizing follows. The goals and objectives established during planning will all go to waste without effective organizing.

In this lesson, Organizing is undertaken to facilitate the implementation of plans. The manager needs to acquire various skills in management including those for organizing business activities.

This module mainly focused on one lesson, specifically:

- Lesson 7 – Nature of Organization and Types of Organization Structures.

Learning Competency:

- Analyze the nature of organizations and types of organization structures (LC Code: ABM _AOM11-IH-j-15)

At the end of this lessons, you are expected to:

1. discuss the nature of organizations;

2. distinguish the various types of organization structures; and

3. understand the significance of organization structures for effective business management.

Lesson 7 Organizing

NATURES OF ORGANIZATIONS AND TYPES OF ORGANIZATION STRUCTURES

To function well, organization structures an and their specific roles must be understood by all members of the organization. Rules and regulation principles must also put into practice. However, the organizing depends on the specific situation of the firm.

Although there are differences of interpretation as to the exact nature of organization. It is undeniable fact that the **proper organization is the backbone of the successful enterprise**, the solid foundation upon which the entire business is built.

All business enterprises, irrespective of their forms, require **organization** for their economic operation and smooth running of business. The larger the size of a business, the more complicated and formal becomes the task of **organizing**.

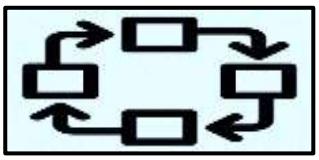
What is an organization?

- **Organization** is the structure in which harmonious inter-relationship of functions and personnel is created through the process of grouping the work to be performed, allocating duties and responsibilities, and delegating authority for the purpose of realizing the objectives of the enterprise.
- **Organization is** the "executive structure of the business". according to Webster.

What is Organizing?

- **Organizing** is a management function which involves assigning of tasks, allocating of resources, and coordinating work activities in order to achieve a common purpose.
- **Organizing** is the process of grouping together men establishing relationships among them, defining authority and responsibility of personnel by using the company's basic resources to attain predetermined goals or objectives.

NATURE OF ORGANIZATIONS



1.PROCESS
The framework provides the means for assigning activities to various parts and identifying the relative authorities and responsibilities of those parts. In simple term, organization is the process by which the chief executive, as a leader, groups his men to get the work done.

2. STRUCTURE
The function of organizing is the creation of a structural framework of duties and responsibilities to be performed by a group of people for the attainment of the objectives of the concern. The organization structure consists of a series of relationships at all levels of authority.

3. DIVIDING AND GROUPING THE ACTIVITIES
Activities of an enterprise are required to be distributed between the departments, units or sections as well as between the persons for securing the benefits of division of labor and specialization and are to be integrated or combined for giving them a commonness of purpose**.**

4. ACCOMPLISHMENT OF GOALS OR OBJECTIVES
An organization structure has no meaning or purpose unless it is built around certain clear-cut goals or objectives. In fact, an organization structure is built-up precisely because it is the ideal way of making a rational pursuit of objectives.

5. AUTHORITY-RESPONSIBILITY RELATIONSHIP
An organization structure consists of various positions arranged in a hierarchy with a clear definition of the authority and responsibility associated with each of these.

6. HUMAN AND MATERIAL ASPECTS
Organization deals with the human and material factors in business. Human element is the most important element in an organization. To accomplish the task of building up a sound organization, it is essential to prepare an outline of the organization which is logical and simple. The manager should then try to fit in suitable men.

Difference between organizational structure and organizational chart

ORGANIZATION STRUCTURE is a system made up of tasks to be accomplished, work movements from one work level to other work levels in the system, reporting

relationships, and communication passageways that unite the work of individual persons and groups.

ORGANIZATIONAL CHART shows the different positions in the firm and its hierarchical arrangement for dividing labor and providing a picture of the reporting structure.

- It is a diagram or drawing showing the important aspects of an organizational structure.
- It shows the relationship among positions as to authority, responsibility and accountability, and the people who occupy them.

TYPES OF ORGANIZATIONAL STRUCTURES INCLUDE:

a. Vertical structure
b. Horizontal structure
c. Network structure

A. VERTICAL STRUCTURE

- According to Bateman and Snell (2008), a vertical structure clears out issues related to authority rights, responsibilities, and reporting relationship.
- **Authority rights** refers to the legitimate rights of individuals, appointed in positions like president, vice president, manager, and the like to give orders to their subordinates, who in turn, report to them what they done. Owners of private business companies have absolute authority, even if other persons are appointed as managers in their companies.
- Besides chairman of the board, a chief executive officer (CEO) is appointed to occupy the top post in the organization.
- Below the top -level managers are the middle-level managers in charge of departments who, as earlier mentioned, report to them.
- Under the middle-level managers are the lower -level managers which include office managers, sales managers, and supervisors who directly report to the former.
- Employees under the lower mangers also have reporting relationships with their respective department managers.

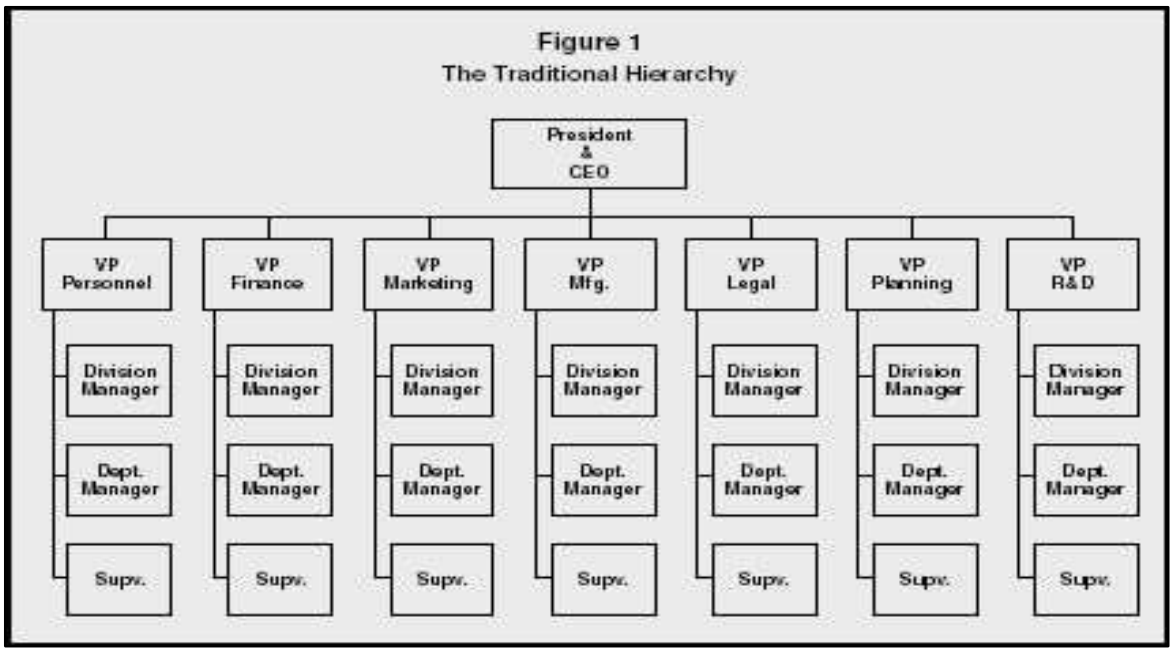


Figure 1
The Traditional Hierarchy

Figure 7.1 Organizational Chart with Vertical Structure

B. HORIZONTAL STRUCTURE refers to the departmentalization of an organization into smaller work units as tasks become increasingly varied and numerous.

TYPES OF DEPARTMENTS

1. **Line departments** – deal directly with firm's primary goods and services; responsible for manufacturing, selling, and providing services, to the clients.
2. **Staff departments**- support the activities of the line department by doing research, attending to legal matters, performing public relations duties, etc.

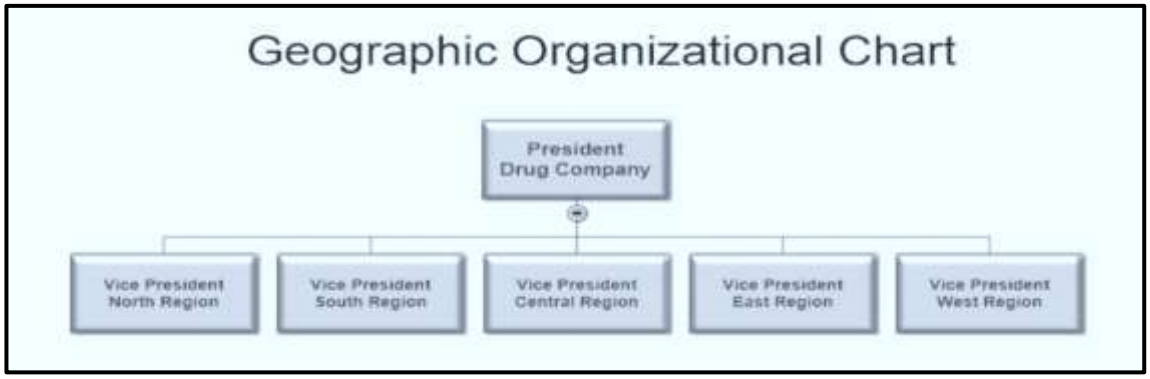
DEPARTMENTALIZATION results from grouping of work, the desire to obtain organization units of manageable size, and to utilize managerial ability.
Examples: Accounting Department, Sales Department, Auditing Department

DEPARTMENTALIZATION may be done using three approaches

a. **Functional approach** -where the subdivisions are formed based on specialized activities such as marketing, production, financial management and human resource management.

Figure 7.2 Organizational Chart with Horizontal Structure- Functional approach

b. **Divisional approach** – where departments are formed based on management of their products, customers, or geographic areas covered.



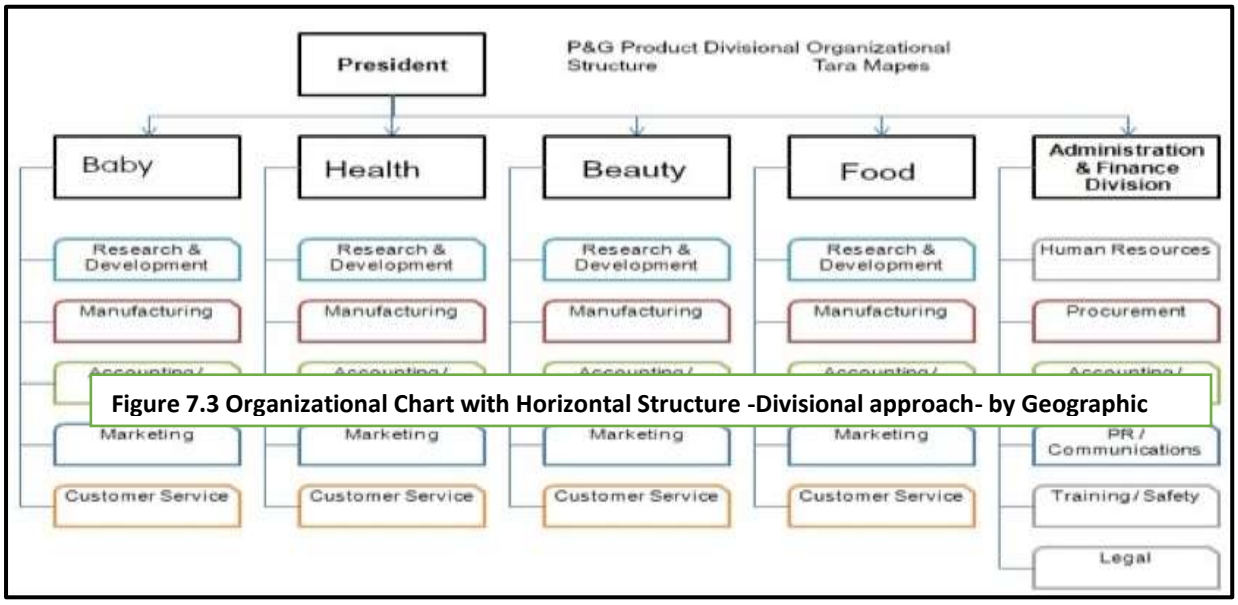


Figure 7.3 Organizational Chart with Horizontal Structure -Divisional approach- by Geographic

Figure 7.4 Organizational Chart with Horizontal Structure-Divisional approach by product

c. Matrix approach- is a hybrid form of departmentalization where managers and staff personnel report to the superiors, the functional managers, and divisional managers.

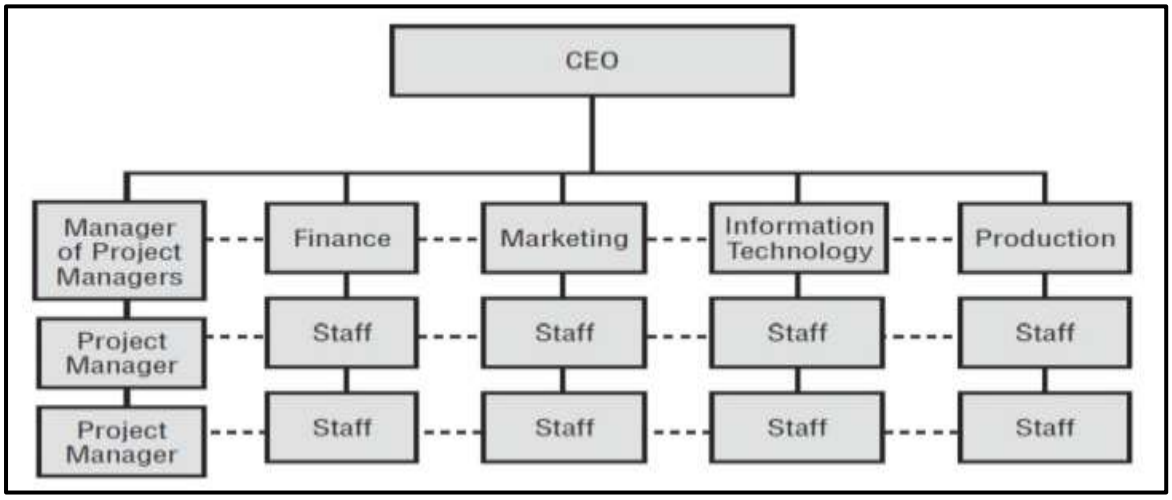


Figure 7.5 Organizational Chart with Horizontal Structure- Matrix

C. NETWORK STRUCTURE - is a collection of independent, usually single function organizations/companies that work together in order to produce a product or service. Such network organizations are each capable of doing their own specialized work activities independently, like producing, distributing, designing, etc. but can work effectively at the same time with other network members.

Organization structures are needed to keep employees needed, to build learning organization and to manage global structural problems.

What's More

Directions: Modified True or False. Read the statement carefully. If the statement is True write **R** if the statement is False write **W**.

_____1. After Planning, Organizing is the second function of management
_____2. Organization structure and organization chart are only the same.
_____3. Organization chart shows the work to be performed, their divisions, and their interrelationships.
_____4. Without the support of organizing the set goals can be achieved
_____5. One of the principles of management applied on organizing is teamwork.

What I Can Do

ACTIVITY 7.1 CASE STUDY: ORGANIZING

Organizing the Power Company

"I do not believe in organization charts or position descriptions of any kind of this company." Declared Johnny Ramos, president and founder of the Power Company., manufacturer of men's ready-to-wear (RTW) suits and jackets." We are successful and fast-rising company where I want all managers and labor to work as a team. Organization charts and descriptions make believe they own position on a chart and want to keep it. We grew from a small company with P100,000 annual sales to P5Million enterprise because we pooled our resources, coming up with competitive products at low costs. We are not San Miguel Corporation with the complex organization charts.

Mr. Silang, the company comptroller, strongly depended on the president, emphasizing that teamwork, not organization charts, is the key to success.

Linda Ignacio, head of manufacturing, believed otherwise and declared the president's view "unreal and unprogressive." Ms. Ignacio said "I could not run my department without organization charts and positions description. As a matter fact, I have them hidden in my desk where Johnny Ramos never sees them!"

QUESTIONS:

1.With whom you align yourself with? Mr. Johnny Ramos, Mr. Silang or Ms. Linda Ignacio? Why?

_____

_____

_____

2.Can you identify the problem? State the problem.

_____
_____
_____

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

MODULE 8

In this module, the different organization theories and applications used in organization structure will be discussed.

In this lesson, it will discuss and identify organization theories that can help how the organization functions best.

This module will discuss specifically the:

Lesson 8 – Organization Theories and Applications,
Delegation, Formal and Informal Organization

Learning Competency:

- Apply organization theories for effective management
  (LC Code: ABM _AOM11-Ih-j-17)

At the end of this lessons, you are expected to:

1. apply organization theories in solving business cases;
2. identify the different elements of delegation; and
3. differentiate formal and informal organization.

Lesson 8	Organization Theories and Applications

Organizational theory attempts to explain the workings of organizations to produce understanding and appreciation of organizations. Correctly applying organizational theory can have several benefits for both the organization and society at large.

Organizational theory studies organizations to identify the patterns and structures they use to solve problems, maximize efficiency and productivity, and meet the expectations of stakeholders.

ORGANIZATION THEORIES AND APPLICATIONS

There are two main classifications of theories regarding organizational design according to Robbins and Coulter (2009):

1. Traditional Theories – are the usual, old-fashioned ways.
2. Modern Theories – are contemporary or new design theories.

Traditional Organizational Design Theories Include:

1. Simple Organizational Design- has few departments, wide span of control, or a big number of subordinates, directly reporting to a manager has a centralized authority figure and has a very little formalization of work; usually used by companies that start out as entrepreneurial ventures.	
Strengths	**Weaknesses**
-flexible -fast decision-making and results -clear accountability	-risk that over-dependence on a single person -no longer appropriate as the company grows

2.Functional Organizational Design – groups together similar or related specialties. Generally, functional departmentalization is utilized and put into practice an entire organization.	
Strengths	**Weaknesses**
-cost-saving advantages -management is facilitated because workers with similar tasks are grouped together.	-managers have little knowledge of other's unit function
3.Divisional Organizational Design- is made up of separate business division or units, where the parent corporation acts as overseer to coordinate and control the different divisions and provide financial and legal services.	
Strengths	**Weaknesses**
-focused on results -managers are responsible for what happens to their products and services	-possible duplication of activities and resources. -increased cost and reduced efficiency.

Modern Organizational Design Theories include:

1. **Team Design -**the entire organization is made up of work groups or teams.
   advantages: are include empowerment of team members and reduced barriers among functional areas.
   Disadvantages: including a clear chain of command and great pressure on teams to perform.

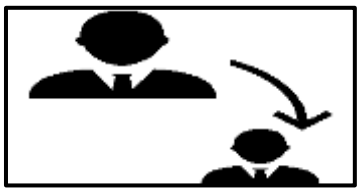
2. **Matrix -Project Design-**
   Matrix Design refers to an organization design where the different specialist from different department works on projects that are supervised by a project manager. This design results in double chain of command wherein workers have two managers- their functional area manager and their project manager- who share authority over them.
   Advantage: specialists are involved in the project.
   Disadvantage: task and personality conflicts

   Project Design refers to an organizational design where employees continuously work on a project
   Advantages: Flexible designs and fast decision-making.
   Disadvantages: Complexity of assigning people to project and tasks and personality conflicts.

3. **Boundary-less Design** another modern organizational design where the design is not defined limited by vertical, horizonal, and external boundaries. There are no departmentalization and no boundaries that separate the organization from customers, suppliers, and other stakeholders.

Virtual organization designs are often used in this design; small groups of full - time employees and outside specialist are temporarily hired to work on the projects.
Advantages: being highly flexible and responsive
Disadvantages: are lack of control and problems in communication.

DELEGATION



DELEGATION refers to assigning a new additional task to a subordinate; or getting the work done through others by giving the work done through others by giving them the right to make decisions or act.

The Three Elements of Delegation

1. **Authority** – the right to act legally or officially
2. **Responsibility** - the state of being answerable legally and morally for the discharge of duty
3. **Accountability –** is to be liable be called to explain

FORMAL AND INFORMAL ORGANIZATIONS

Whether an organization is formal or informal is determined by the kind of relationship that prevails in each organization type.

FORMAL ORGANIZATIONS – are characterized by hierarchical and reporting relationships among groups or members.

- Refers to the organizations formed by the company owner or manager to help firm accomplish its goals; made up of formal groups (work groups/project teams/committee) similarly formed by company authorities to support their activities and achieve their objectives.

INFORMAL ORGANIZATIONS – consist of informal groups born out of the need for social affiliation.

- Refers to the organizations exist because of friendship or common interest; made up of informal groups which exist for the member's need for social affiliation.

Both formal and informal organizations may exist in the same organization structure.

What's More

Directions: Identify the following Organizational design is Traditional **(T)** or Modern (**M**). Write letter only.

_____1. Design that groups together similar or related specialties
_____2. It is made up of work teams.
_____3. Design where employee continuously work on project
_____4. Focus on performance improvement of people
_____5. Focus on flexibility and problem solving

What I Can Do

ACTIVITY 8.1 CASE STUDY

Engineer Jose Santos is a supervisor of group of light project engineers. His unit is burdened with heavy workloads because of increase in orders of their company's computer components. Following up customer's orders and the availability of these said products by himself is too much work for him. As a consultant for the company, what would you advise Engineer Santos?

QUESTIONS:

1.Can you identify the problem? State the problem.

_____

_____

_____

2.Can you recommend at least two solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2

3.Among the two alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

Assessment

POST TEST: Choose the letter of the best answer. Write the chosen letter on a separate sheet of paper.

1. A management function which involves assigning of tasks, allocating of resources, and coordinating work activities to achieve a common purpose.

a. Planning
b. Organizing
c. Staffing
d. Directing

2. Organizational design which is made up of separate business division or units.
   a. Division Organizational
   b. Functional Organizational
   c. Team Design
   d. Matrix Design
3. The statements below define management except for:
   a. The force that runs an enterprise and is responsible for its success and failure.
   b. The performance of conceiving and achieving desired results by means of group effort.
   c. An art only and not important subject in business.
   d. Satisfying the economic and social needs by being productive for the human being, for the economy and for society.
4. He postulated a management theory make use of the step, scientific methods for finding the single best way for doing a job.
   a. Henry Fayol
   b. Frederick W. Taylor
   c. Joseph M.Juran
   d. W. Edwards Deming
5. The following statements are nature of planning except:
   a. Planning is the function of all managers.
   b. Planning for efficient organization
   c. Assigning of responsibility
   d. Contribution to purpose and objective
6. The process of choosing a specific procedure or course of action from among several possible alternatives.
   a. Scenario Planning
   b. Forecasting
   c. Contingency Planning
   d. Decision-making
7. The skills that are helpful in decision-making.
   a. Human
   c. Technical
   c. Conceptual
   d. Physical
8. These persons may be called vice-president, managing director, chief executive officer or chairman of the board etc. and in charge to the overall objectives of the organization.
   a. Middle-Level Managers
   b. Top-Level Managers
   c. Tactical Managers
   d. Lower -Level Managers
9. An environment that includes, political, legal, economic, socio cultural and technological aspects.
   a. Opportunities
   b. Internal Environment
   c. Business Firm
   d. External Environment
10. Is the study of how society produces and distributes its desired goods and services.
   a. Economics
   b. Management
   c. Marketing
   d. Entrepreneurship

DIVISION OF NAVOTAS CITY

Senior High School

Organization and Management

(Quarter 2)

First Semester

ADM
ALTERNATIVE DELIVERY MODE

S.Y. 2021-2022

NAVOTAS CITY PHILIPPINES

GOVERNMENT PROPERTY
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What I Know

PRETEST: Choose the letter of the best answer. Write the chosen letter on a separate sheet of paper.

1. The process of acquiring and developing human resources to carry out and perform various activities of the organization.
   a. Scanning
   b. Planning
   c. Organizing
   d. Staffing
2. Is the procedure for determining the duties and skill requirements for a job or position, as well as other qualifications sought for in an employee or applicant.
   a. Job Specification
   b. Job Description
   c. Job Analysis
   d. Job Position
3. Theory of motivation which predicts that employees are motivated to work well because of the attractiveness of the rewards or benefits that they may possibly receive from a job assignment.
   a. Scientific Management Theory
   b. Expectant Theory
   c. Equity Theory
   d. General Administrative Theory
4. Gift, prize, or recompose for merit, service or achievement which may have a motivating effect on the employee.
   a. Rewards
   b. Salary
   c. Promotion
   d. Compensation/wage
5. Refers to process of social influence that enables a person to encourage others and enlist their aid and support.
   a. Motivation
   b. Leadership
   c. Communication
   d. Controlling
6. Is important in organizing jobs, it can take several forms: verbal, written and expressed or body language.
   a. Directing
   b. Controlling
   c. Motivation
   d. Communication
7. A management function involves ensuring the work performance of the organization's members are aligned with the organization's values and standards through monitoring, comparing and correcting their actions.
   a. Planning
   b. Staffing
   c. Controlling
   d. Organizing
8. Are used for measuring an organizations financial stability, efficiency effectiveness, production output, and organizations member's attitude and morale.
   a. Control Methods
   b. Financial Control
   c. Feedback Control
   d. Feedforward Control
9. A functional area of management responsible in financial management and control.
   a. Office Management
   b. Marketing Management
   c. Financial Management
   d. Operation Management
10. A road map which the business must follow utilizing the resources at hand while keeping the environment in mind.
   a. Business Plan
   b. Marketing Plan
   c. Tactical Plan
   d. Strategic Plan

MODULE 9

What I Need to Know

In this module, we will learn that Staffing or Human Resource Management involves acquiring and developing human resources that will carry out and perform various activities in an organization. Staffing the organization is another major responsibility of managers.

These lessons will define the concept of staffing and discuss the various processes involved in systematic staffing.

This module is focused on one lesson, mainly:

Lesson 9 – Staffing-Part 1

- Definition and Nature of Staffing
- The process of recruitment, selection, and training and development of an employee

Learning Competencies:

- Discuss the concept and nature of staffing.
  (LC Code: ABM_AOM11-IIa-b-20)
- Analyze the process of recruiting, selecting and training employees
  (LC Code: ABM_AOM11-IIa-b-21)
  (LC Code: ABM _AOAM111a-b-22)

At the end of this module, you are expected to:

1. discuss the nature of staffing;
2. explain the steps in the recruitment and selection process; and
3. recognize the different training programs.

Lesson 9	**Staffing – Part 1** **Concept and Nature of Staffing, The Process of Recruitment, Selection and Training of Employees.**

What is It

Managers often considers human resources as their organization's most important resource. Very few administrators would argue with the fact that human resources are very important for the efficient and effective operation of a company. To emphasize their importance human resources are also human capital, intellectual

assets, or management or company talents. These terms imply that human resources are the drivers of the organization's performance; hence, **staffing is a crucial function of managers.**

1.The Concept and Nature of Staffing

STAFFING

Definition of Staffing

- **STAFFING** is the process of recruiting, selecting, and training of men. It means putting the right men on the right jobs.
- **STAFFING** according to Dyck and Neubert (2012), is the Human Resource function of identifying, attracting, hiring, and retaining people with the necessary qualifications to fill the responsibilities of current and future jobs in the organization.
- **STAFFING** involves appointing qualified people into positions in the organization, ensuring that they are efficient and effective employees, and promoting their growths as they continue to work in the company.

Retrieved from: https://medium.com/@hlinesoft053/staffing-process-540f078d63da Accessed October 10, 2020.

CONCEPT OF PEOPLE MANAGEMENT

Human Resource Management (HRM) is concerned with how employees are employed and managed in organizations. It is defined as "the comprehensive set of managerial activities and tasks concerned with developing and maintaining a qualified workforce and human resource, in ways that contribute to organizational effectiveness."

NATURE OF STAFFING

Staffing or Human Resource Management involves acquiring ang developing human resources that will carry out and perform the various activities of the organization. Aside from hiring people into the organization, the company also engages in human resource management and utilizes various tools and techniques to promote employee loyalty, satisfaction, and personal growth within the company.

THE HUMAN RESOURCE DEPARTMENT

The **Human Resource Department (HRD)** is tasked to implementing human resource management in the company. The activities of HRD include the primary function of human resource management such as human resource planning, job analysis, recruitment and hiring, training and development, performance appraisal and management, compensation, and employee relations.

The **HRD** is also responsible for ensuring that the company complies with workplace safety standards and labor and employment laws.

This department is staffed by human resource professionals and headed by a Human Resource Director. Some companies appoint a Vice President for Human Resources to oversee HR management.

THE STAFFING PROCESS

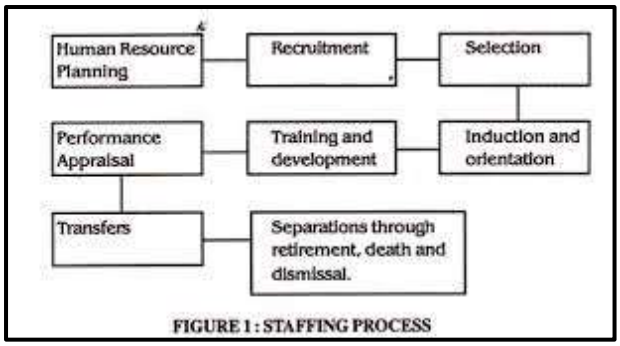


FIGURE 1 : STAFFING PROCESS

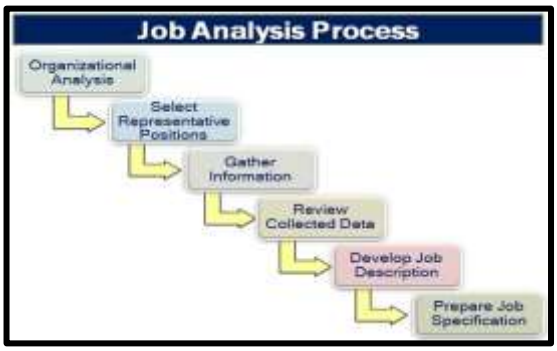
Retrieved from: https://www.businessmanagementideas.com/staffing/staffing-meaning-features-and- importance/3508

The staffing process is crucial for the achievement of organizational goals.

1. The first step in the process is **human resource planning** where in the manager identifies the right number of people and the required skills for the different job
2. **Job analysis** is employed to determine the task, activities, skills required in the identified positions. After identifying the job specifications, qualified people scouted to fill in the positions in the organization.
3. The process of finding people to hire for a job is called **recruitment.**
4. The **selection** of job candidates is done through interviews, psychological test and background check.
5. Upon hiring, new employees are **oriented** on company rules and policies, compensation and benefit packages, and **training programs**.

JOB ANALYSIS is the procedure for determining the duties and skill requirements for a job or position, as well as other qualifications sought for in an employee or applicant.

JOB ANALYSIS is the procedure used for determining /collecting information relating to the operations and responsibility of a specific job. The end results are job description and job specifications.



Retrieved from http://learnersdestination.com/job-analysis/
Accessed October 12, 2020

Figure 2. Job Analysis Process

- **Job description** -organized, factual statement of duties and responsibilities of a specific job. It tells what to be done, how it is done, and why.
- **Job specifications** – a written explanation of the minimum acceptable human qualities necessary for effective performance of a given job. It designates the qualities required for acceptable performance, which are requisite education, skills, personality.

E-commerce Executive

We have immediate requirement for E-commerce Executive profile.

Company: XYZ Pvt. Ltd.

Position: E-commerce Executive

Industry: E-commerce

Location: Mumbai

Job Description

Duties and Responsibilities:

- E-commerce order processing and management on Flipkart, Amazon and E-Bay.
- Maintaining order records.
- Product listing and comparison with that of competitors.
- Payment and reconciliation of the orders.
- Managing returns and cancellation.
- Providing essential inputs to the management for decision making.

Job Type: Full-time

Shift: Morning Shift (9:00 A.M. to 5:00 P.M.)

Job Specification

Qualification: 12TH Higher Secondary (Required)

Experience: E-commerce: 1-2 Years (Required)

Skills:

- Computer Proficiency
- Fluent English Communication (Verbal and Written)
- Ability to Work Under Pressure
- Analytical Abilities

Salary: As per company standards

Figure 3. Job analysis

Retrieved from:

http://learnersdestination.com/job-analysis/ accessed October 12. 2020

This is an example of Job Analysis. It contains the Job Position, Job Description and Job Specification.

2. The Process of Recruitment, Selection, and Training and Development of Employees

RECRUITMENT

RECRUITMENT – A set of activities designed to attract qualified applicants for job position vacancies in an organization.

RECRUITMENT is the process of encouraging, inducing, or influencing applicants to apply fo a certain vacant position.

TYPES OF RECRUITMENT

1. **INTERNAL RECRUITMENT** - Filling job vacancies can be done through promotions or transfer of employees who are already part of the part of the organization

2. **EXTERNAL RECRUITMENT** - Outside sources are considered in the process of locating potential individuals.

Methods of Recruitment

Advertisment	Through website, newspaper, radio, televisions, posters e-mails
Unsolicited application	Received by an employer, from an individual who may or may not qualified for the job opening
Internet recruiting	Independed job boards on the Web
Employee referrals	Recommendations
Executive search firms	Also known as “headhunters “ help employers find the person for a job.
Educational institution	Good source of young applicants or new graduates
Professional associations	May offer placement services to their members who seek employments
Labor unions	Possible source of applicants for blue-collar and professional job
Public and private agencies	May also good sources for different types of job vacancies.

SELECTION

SELECTION – the process of choosing individuals who have the required qualifications to fill present and expected job openings.

SELECTION -the process of **getting the most qualified applicant** from among different seekers.

STEPS IN SELECTION

1. Reception of applicants
2. Preliminary Interview
    - **Interviews** are important in determining the qualifications of an applicant and gauging his or her ability to perform a job.

Types of Job Interviews

a. **Structured Interview** – the interviewer asks the applicants to answer a set of prepared questions.
b. **Unstructured Interview**- the interviewer has no interview guide and may ask the questions freely.
c. **One-on-one interview –** one interviewer is assigned to interview the applicant.
d. **Panel Interview –** several interviewers or a panel interviewer may conduct the interview of applicants: three to five interviewers take turn in asking questions.

3. Complete application form
4. Employment Test
    - **Intelligence Test**- designed to measure the applicant's mental capacity test his or her cognitive capacity
    - **Proficiency and aptitude Tests-** test his or her present skills and potential for learning skills.
    - **Personality Tests-** designed to reveal the applicant's personal characteristics and ability to relate with others.
    - **Vocational tests-** test that show the occupation best suited to an applicant.
5. Final selection by immediate supervisor or department head
6. Physical and medical examination
7. Hiring
8. Orientation/ Induction/Indoctrination

NEW EMPLOYEE ORIENTATION PROGRAM

The initial training of newly hire hired employee includes an **orientation**. The new employee orientation program aims to provide new employees with relevant information about the company such as the company's history, vision and mission, culture, products, and services provided, work hours, dress code, and company policies.

The program also introduces new employees to their superior and co-employees within the department and the top management are introduced.

3.Training and Development of an Employee

Retrieved from:https://nbsl.org.uk/business-bullets/people/70-3-things-to-consider-when-planning-your-training-and-development-strategy Accessed October 13,2020

TRAINING AND DEVELOPMENT refer to two distinct processes in employee development.

TRAINING is an organized activity that increases and enhances employees' knowledge and skills on their job to improve their current performance.

DEVELOPMENT is the enhancement of the competencies of employees by giving them opportunities for greater responsibilities as well as challenging tasks that will help them achieve their total growth.

Some of the common techniques used by companies in training programs:

1. **Lecture** is the oldest and most popular method of teaching where the trainer or speaker gives a speech explaining a topic or concept.
2. **Demonstration** method-is utilized to show how something works or how to perform task.
3. **Computer-based training program** utilizes computer programs to teach knowledge and skills and does not require face-to-face interaction with the trainer.
4. **Programmed Instruction** is a form of computer -based training that the participants go through the content of the material and answer tests. Once they pass a test, they are able to proceed to the next level of the program.
5. **Case study** method presents a particular situation and trainee discuss and decide on a solution to an organizational problem highlighted in the case.
6. **Role Playing** method presents actual work situations for analysis and participants are asked to act out of specific roles.
7. **Teambuilding** is a training program that utilizes activities that encourage employee to work in groups.
8. **On-the-job Training and Job Rotation** the trainee is shown how to perform the job and allowed to do it under the trainer's supervision.
9. **Vestibule Training** procedure and equipment similar to those used in the actual job are set up in a special working area are called a vestibule.
10. **Management Development Program** is a systematic process of training and growth by which individuals gain and apply knowledge, skills, insights, and attitudes to manage work organizations effectively.

What's More

Directions: Read the group of words or statement written below. Match it with the words inside the box which are the staffing process. Write only the letter of your answer in a separate sheet.

A. JOB ANALYSIS	C. SELECTION	E. STAFFING
B. RECRUITMENT	D. TRAINING	

_____1. Intelligence test, aptitude test, personality test
_____2. Job position, Job description, Job specification
_____3. External applicant, internal applicant
_____4. Demonstration, lecture, role playing
_____5. Preliminary interview, employment test

ACTIVITY 9.1 CASE STUDY: STAFFING

Directions: Read and understand the case study. Write your answer in a separate sheet.

The department manager holds a regular meeting with the four section Heads confining each meeting to one chief problem. On this day, the subject was the "poor" quality of the twenty supervisors reporting to the section heads.

"We have a rather poor record in selecting good supervisor" she began. "We may have five or six who are outstanding, but there are too many who are not. What do you people consider when you recommend candidates to me?"

"I think my best technical people make the best supervisors, "said one section head. "They have the respect of their associates and subordinates who rate their technical competence highly. They can train new staff members effectively, and pitch in to do the most demanding jobs themselves."

"Maybe that is just the trouble", said the department manager. "People like them because everyone never learn to manage because they spend their time in technical work." Another section head said, I made my recommendation based on seniority. It has popular appeal because everyone expects to be a long this line."

"Do you think "the manager said "that age is the only or most important criterion for supervision? ". Such a practice conveniently ignores everything learned about managing, or it assumes that the candidate has the capability to become proficient in management after getting the job. Is this realistic?"

During the meeting, other factor such a s getting along with people, making impression, having the capability for further promotion, and being able to exact responsibility were all considered. The department manager was clearly frustrated and, as she ended the meeting she remarked "No wonder we have 40% failure rate in selecting supervisor.

QUESTIONS:

1.Can you identify the problem? State the problem.

_____

_____

2.Base from the case, can you enumerate the reasons why the company has 40% failure state in selecting supervisors?

_____

_____

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

MODULE 10

In this module, we will learn that Staffing or Human Resource Management also involves the objective of compensation, employee relations, employee movements and the reward systems that is equitable to the employer and employee alike.

Learning Competencies:

- Examine the functions and importance of compensation, wages and performance evaluation, appraisal, reward system, employee relations and movement
  (LC Code: ABM_AOM11-IIa-b-23 to ABM_AOM11-IIa-b-26)

These lessons will explain the policy or guidelines in compensation and performance, importance of employee relations, various employees' movements and adopt effective reward systems.

This module will discuss specifically the:
Lesson 10 – Staffing Part 2

- Compensation/Wages and Performance Evaluation
  Employee Relations
- Employee Movements and Reward System

At the end of this lessons, you are expected to:

1. Identify the policy guidelines on compensation and wages and performance evaluation or appraisal;
2. discuss the importance of employee relations;
3. differentiate various employee movement; and
4. realize the importance of adopting an effective reward system.

Lesson 10	Staffing - Part 2 Compensation/Wages and Performance Evaluation Employee Relations

Compensation/wages and performance evaluation are related to each other because the employee's excellent or poor performance also determines the compensation given to them, after considering other internal or external factors like the actual worth of the job, compensation strategy of the organization, conditions of the labor market, cost of living, and area wage rates, among others.

Compensation/Wages – all forms of pay given by employers to their employees for the performance of their jobs. Any tangible equivalent or reward for services rendered or for the performance of a task performed in the organization.

TYPES OF COMPENSATION

1. **Direct compensation** – includes worker's salaries, incentive pays, bonuses and commissions.
2. **Indirect compensation**- includes benefits given by the employers other than the financial remuneration: example: travel, educational and health benefits, sportsfest and others.
3. **Nonfinancial compensation-** includes recognition programs, being assigned to do rewarding jobs, or enjoying management support, ideal work environment, and convenient work hours.

COMPENSATION: A Motivational Factor for Employee

Compensation pay represents a reward that an employee receives for good performance that contributes to the company's success. In relation to this the following must be considered:

Pay Equity – related to fairness: ***the Equity Theory*** is a motivation theory focusing on employee's response to the pay that they receive and the feeling that they receive less or more than they deserve. In other words**,** pay equity is achieved when the **pay given to them by their employers is equal to the value of the job performed.**

Expectant Theory another theory of motivation which predicts that employees are motivated to work well because of the **attractiveness of the rewards or benefits that they may possibly receive from a job assignment.**

BASES FOR COMPENSATION

Employee may be compensated based on the following:

1. **Piecework basis** – when pay is computed according to the number of units produced.

2. **Hourly basis**- when pay is computed according to the number of work hours rendered.
3. **Daily basis** – when pay is computed according to the numbers of work days rendered.
4. **Weekly basis** – when pay is computed according to work weeks rendered.
5. **Monthly basis** – when pay is computed according to the number of work months rendered.

SALARY – refers to compensation given to professionals on a monthly or semi-monthly basis.

WAGE- refers to compensation given on a weekly or daily basis and usually applies to manual workers.

ADVANTAGES OF GOOD COMPENSATION AND BENEFITS.

1. Job satisfaction
2. Motivation
3. Low absenteeism
4. Low Turn-over

PERFORMANCE EVALUATION

Performance Evaluation- a process undertaken by the organization, usually done once a year, designed to measure employees' work performance.

Purpose of Performance Evaluation

1. **Administrative Purposes** -These are fulfilled through appraisal evaluation programs that provide information that may be used as a **basis for compensation decisions, promotions, transfers, and terminations.**
2. **Developmental Purposes –** these are fulfilled through appraisal evaluation programs that provide information about employees' performance and their strengths and weaknesses that may be used **as basis for identifying their training and developmental needs.**

Performance appraisal methods includes **trait methods, graphic rating scales, forced choice method, behaviorally anchored rating scale (BARS), and behavioral observation scale (BOS).**

EMPLOYEE RELATIONS

Employee relations are the connection created among employees/workers as they do their assigned tasks for the organization to which they belong.
Employee relations applies to all phases of work activities in organizations, and managers to be effective must be able to encourage good employee relationship among all human resources under his or her care.

Employees/workers are social beings who need connections or relations with other human beings-other employees/workers-who can give them **social support** as they carry out their tasks in an organization where all of them belong.

Three Types of Employees	
Engaged	-Employees who work with passion and feel a deep connection with their company -They drive innovation and move the organization forward.
Not engaged	-employees who essentially "checked out "

	- they put time, but not energy or passion, into their work
Actively Disengaged	**-**employees who are not only unhappy at work, but also act out their unhappiness -they undermine what their engaged coworkers accomplish

Source: www.gullup.com

Here are some ways to overcome barriers to good employee relations:

- Develop a healthy personality to overcome negative attitudes and behaviors
- Find time to socialize with coworkers
- Overcome tendencies of being too dependent on electric gadgets
- Develop good communication skills and open to other's opinion
- Minimize cultural/subcultural tension.

EMPLOYEE MOVEMENTS

Employee movements are inevitable and are often the result of evaluation or structural changes within an organization. An organization can move its employee either vertically or horizontally.
Vertical Movement – entails the movement of an employee from a lower position to a higher one.
Horizontal Movement- involves in the transfer of an employee to another department or position with similar responsibilities or status.

- **PROMOTION -** is a movement to a higher level or position.
  -refers to the shifting of an employee to a new position to which both his status and responsibilities are increased.
- **DEMOTION** – is a movement to a lower position.
  A common reason for an employee's demotion is inefficiency of poor performance.
- **TRANSFER-** is a movement to another position but with the same level or scope of responsibility. It can also mean a transfer to another branch or location, but employee still occupies the same tasks.
- **SEPARATION**- an employee's departure from the organization.
  1. **Resignation**- this is an employee's voluntary decision to leave the organization.
  2. **Separation with authorized cause** – more commonly known as **layoff**, this is the company's decision to terminate the employee s due to business reasons.
  3. **Separation with just cause** – This occurs when an employee is terminated due to theft, fraud, and other serious offenses.
  4. **Retirement** – this refers to the end of a worker's employment with the company due to illness, or infirmity. Some companies set their retirement age for employees 60 or 65 years old.

LABOR UNION is a formal union of employees/workers that deals with employers, representing workers in their pursuit of justice and fairness and in their fight for their collective or common interest.
Employee or workers unionize because of **financial needs, unfair management practices and social leadership.**
CBA stands for Collective Bargaining Agreement and Labor Union.

UNIONISM – the principle of combination for unity of purpose and action.
GRIEVANCE PROCEDURE – is a formal procedure that authorizes the union to represent their members in processing a grievance or complaint.

REWARDS SYSTEM

Retrieved from: https://www.get-benefits.com/miscellaneous/reward-employees-bonus-plan-makes-sense/ Accessed October 8,

Organizations offer competitive rewards systems to attract knowledgeable and skilled people and to keep them motivated and satisfied once they are employed in their firm. Further, **rewards promote personal growth and development and present fast employee turnover.**

REWARD- gift, prize, or recompose for merit, service or achievement which may have a motivating effect on the employee

TWO TYPES OF REWARDS

1. MONETARY REWARDS – rewards which pertain to money, finance , or currency

- **A. Pay/salary** - weekly, monthly, or hourly pay, piecework compensation.
- **B. Benefits** - health care benefits, retirement benefits, educational benefits
- **C. Incentives** - bonuses, merit pays, sales incentives
- **D. Executive pay** - basic salary, bonuses, stock plans, benefits, gratuity
- **E. Stock options –** are lanes that grant employees the right to buy a specific number of shares of the organization stocks.

The Philippine government has implemented law that requires business establishments **to give 13th month pay to all employees that have worked for them for at least a month.**

2.NON-MONETARY REWARDS- rewards which do not pertain to money, finance or currency .

A. **Award** – trophies, medal, certificates of recognition
B. **Praise** – superior to their subordinates when they express oral or verbal appreciation for excellent job performance.

What's More

Directions: Modified TRUE or FALSE.

Read and understand the following statement. If the statement is TRUE write **T** and If the statement is FALSE write **F.** Write your answer in separate sheet.

_____1. Family and personal problems and reasons why workers joined from a labor union.
_____2. Employees feel that their salary must be commensurate to the efforts they exerted in the performance of their job.

_____3. A labor union is an informal grouping of employees that negotiates with an Employer.
_____4. Performance evaluation done by companies never fails.
_____5. Compensation/wages are all forms of pay given by employer to their employees for the performance of their jobs.

Directions: Read and understand the case study. Write your answer in a separate sheet.

CASE STUDY STAFFING

ACTIVITY 10.1 WHY WE NEED TO CHANGE

Artemio was appointed CEO of Rafol's Enterprise s upon the death of his father.

The company went public under the leadership of Artemio and must adapt to being open and transparent to outside investors. There were pressures from the shareholders to reduce costs and increase profits. In response, Artemio implemented cost-cutting measures including downsizing by means of enforcing early retirement of employees who he felt could not move to digitize the operation of the business.

As expected, most of the employees were not happy and this affected the morale of their employees. Artemio sought the assistance of Ely Buenaobra, the VP of HR. Ely suggested a comprehensive program wherein it is not just the managers who would be evaluated based on achieving results but even the employees by means of demonstrating to their employees that their performance affects company results.

This in turn will show to the shareholders that the company's primary objective in to increase performance.

Inspired by the case entitled "A Time for Change" from the book Human Resource Management by Wendell French, Houghton Mifflin Company,2007.

QUESTIONS:

1.Can you identify the problem? State the problem.

_____

2.Do you agree with the proposal of Ely? Explain your answer.

_____

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

MODULE 11

What I Need to Know

This module highlights another function of management – Leading. It is important because it involves the organization's people who possess different attitudes, behaviors, personalities, and motivations among them to achieve a common goal is quite challenging because of their many diverse characteristics.

Learning Competencies:

Analyze motivation, leadership, and communication work in an organization

LC Code: ABM_AOM11-IIc-e-27, ABM_AOM11-IIc-e-28, ABM_AOM11-IIc-e-29, ABM_AOM11-IIc-e-30, ABM_AOM11-IIc-e-31

These lessons will explain understanding leading or directing begins with how people behave, what their motivation s and how to communicate with them.

This module will discuss specifically the:

Lesson 11 - Leading and Motivation
Leadership Styles and Theories
Communication

At the end of this lessons, you are expected to:

1. Discuss the nature of leading or directing;
2. Differentiate leading from managing;
3. Identify the different theories of motivation;
4. Differentiate the various styles of leadership; and
5. appreciate the role of communication in directing people within the organization.

Lesson 11	Leading – Motivation, Leadership and Communication

What is It

1. Leading and Motivation

Retrieved from: https://crossroadscareer.org/what-leadership-is-not/ Accessed October 9, 2020

LEADING

Successful **leading** must begin with focusing on the psychological capital of both the employer/leader and the employee subordinate. Looking for what is right with people rather than what is wrong is suggested to prevent mental and behavioral problem which are barriers to achieving both organizational and individual goals.

LEADING is a management function combine two significant concepts – the DIRECTING and LEADERSHIP.

Directing is the fourth universal function of management and it refers to the process of motivation, communication, and leadership. It deals with the relationship of managers and non-managers. Planning, organizing, staffing and controlling could be done effectively, but it must be supported by an understanding of people's behavior by good communication and ability to lead.
Leadership is an essential skill that manager must possess to guide their organization towards achieving their goal. Effective leadership requires an understanding of human motivation.
Managers as leaders should understand the motive of people, and they should maintain or improve the interpersonal relationship in an organization so that people can be satisfied from contributing to the achievement and development of objectives of the enterprise.

Leading and Managing

Leading - a management function that involves inspiring and influencing people in the organization to achieve common goal.
Managing – the process of working with and through others to achieve organizational objectives efficiently and ethically amid constant change. It also deals with planning, organizing, staffing, leading, and controlling.

2.MOTIVATION

Motivation refers to psychological processes that arouse and direct goal- directed behavior. Motivation encourages individuals to work enthusiastically, often performing more work than what is required.

- What could mangers to do ensure such motivated and enthusiastic performance among their subordinates?
- What could be done to inspire employee whose work performance is limited to the minimum need?

Motive is something that arouse or induces an individual to behave or induces an individual to behave or certain thing. It is also **known as need or desire**.
Internal Motives are based on an individual's own personal drive to achieve certain goal.
External Motives are based on forces or influences that are outside of the person such as environment, peer group, family members, and society.

THEORIES OR MOTIVATION

Several theories have outlined principles and ideas that explain the nature of motivation and its effects on a person's behavior.

A. **McClelland's Learned Need Theory** also known **as Achievement Motivation Theory**
According **to David McClleland,** an American Psychologist, human behavior is defined by three motivators which are learned and shaped by a person's life experiences.
The learned needs:
1.Need for achievement have a strong desire to accomplish challenging goals and gain advancement in their profession.
2. Need for Affiliation prefer to be in the company of others.
3. Need for power want to control and influence others.

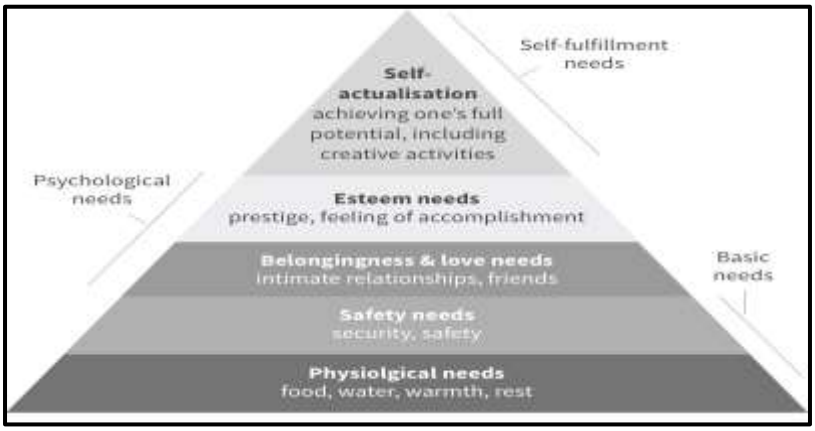
B. **Herzberg's Two-Factor Theory** – The American psychologist **Frederick Herzberg** proposed the Two-Factor Theory of Motivation.

Two important factors:

1.**Hygiene factors –** include rules and policies, salaries and benefits, relationships with coworkers and superiors, work conditions, quality and supervision.

2. **Motivators factors** – include the nature of job itself, recognition, personal growth, opportunity for advancement, responsibility, and employment status.

C. **Abraham Maslow's Hierarchy of Needs** the most widely recognized theory of motivation that specifies the fundamental needs of individual.



Retrieved from: https://mrjoe.uk/maslows-hierarchy-needs-psychology-myth-busting-1 Accessed on October 12,2020

Maslow's theory assumes that lower-level needs should be satisfied first to enable a person to address his or her higher-level needs such as self-esteem and self-actualization.

The Five Human Needs according to Maslow's Hierarchy of Needs Theory:

1. **Physiological Needs** refer the human need for food, water, shelter, and other physical necessities.
2. **Safety Needs** refer to human needs for security and protection from physical and psychological harm.
3. **Social Needs** pertain to the human desire to be loved and to love as well as need for the affection and belongingness.
4. **Esteem Needs** include the human need for self-respect, self -fulfillment, and become the best according to one's capability.
5. **Self -actualization Needs** are the final needs.

D. **Alderfer's ERG Theory - the ERG (Existence, Relatedness, Growth) Theory of Motivation**

Was developed in 1969 by Clayton Alderfer, An American Psychologist.

1. **Existence needs** are comprised of physiological and security needs**.**
2. **Relatedness needs** combine love and belongingness
3. **Growth needs** include self-esteem and self-actualization.

Let us see and analyze the diagram of some Motivation theories.

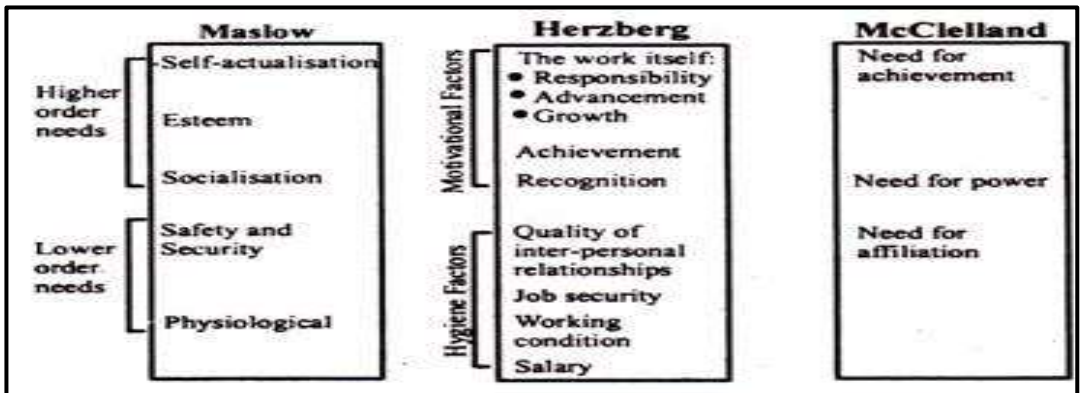


Fig. 17.2 : Three Need Theories of Motivation

Retrieved from: https://www.damak.tk/33238/learning-theories-summary-chart.htm
Accessed October 12, 2020

LEADERSHIP

Leadership refers to process of social influence that enables a person to encourage others and enlist their aid and support in the performance of task and in achieving a particular goal.
It is not primarily based on power or authority, but it is a product of social interaction and defined social characteristics such as charisma intelligence and other traits.

Leadership is the process of inspiring and influencing a group of people to achieve a common goal.
Leading is a complex process. It involves influencing others to accomplish a mission, task, or goal.

Management experts identify four primary traits that leaders should possess. These are as follows:

1. **Emotional Stability** – A leader is calm and confident during stressful time.
2. **Ability to admit error** -A leader does not cover up his or her mistakes and takes responsibility for them.
3. **Good interpersonal skills**- A leader can communicate and persuade others.
4. **Intellectual breadth** – A leader is broad-minded and is knowledgeable about a wide range of areas.

LEADERSHIP THEORIES and LEADERSHIP STYLES

The Hershey- Blanchard Leadership Theory is a leadership model developed by leadership mentors **Paul Hersey and Ken Blanchard.** This focuses on the direction and emotional support a leader provides his or her followers as they undertake a task.

THERE ARE FOUR LEADERSHIP STYLES ARISING FROM THIS MODEL:

1. **Directing** – the leader directs and gives clear instructions. This is good for followers who have low competence.

2. **Coaching-** The leader is always open to two-way communication. He or she continually motivates employees. This is good for followers who are moderately competent.
3. **Supporting**- The Leader and members of the group support each other. There is an active participation among workers who are moderately competent.
4. **Delegating**- The leader has followers who are highly competent. The followers are highly motivated and take responsibility for accomplishing assigned task.

THE PATH-GOAL THEORY OF LEADERSHIP – describes the way leaders support their followers in achieving their goals.

Its proponent, leadership theorist **Robert House, identified four leadership style:**

1. **Supportive leadership-**The leader supports a friendly environment by looking their subordinate's welfare. This approach is best when the job is stressful or tedious.
2. **Directive Leadership-** The leader communicates to the members of the group the goals expectation and assign clear tasks**.**
3. **Participative leadership**- The leader consult with his or her followers and consider their ideas in decision-making.
4. **Achievement- oriented leadership –** the leader trusts the capabilities and set challenging goals to motivate them to perform at their optimal levels.

PARTICIPATIVE LEADERSHIP

Kurt Lewin, a German American psychologist identifies three leadership styles based on their decision-making practices

a. **Autocratic leaders** – These leaders take sole charge in decision making and do not consult with other members.
b. **Democratic leaders** – These leaders allow team members to provide inputs before deciding.
c. **Laissez-faire leaders** – These leaders do not interfere in the decision making and they allow members to make most of the decisions.

Action-Centered Leadership Model - a theory of **John Adair,** that **teamwork** is essential in the accomplishment of tasks, and leader puts emphasis on the following elements depending on the situation.

1. **Task** – includes defining the task, plans, allocating resources, and assigning specific tasks.
2. **Team** – entails maintaining discipline, building team spirit, and motivating members.
3. **Individua**l – includes attending to personal problems, recognizing and using individual abilities, and developing group members.

3. COMMUNICATION

Communication applies to all management functions and its general purpose for the organizations to bring positive changes that influence activities leading to the firm's welfare.

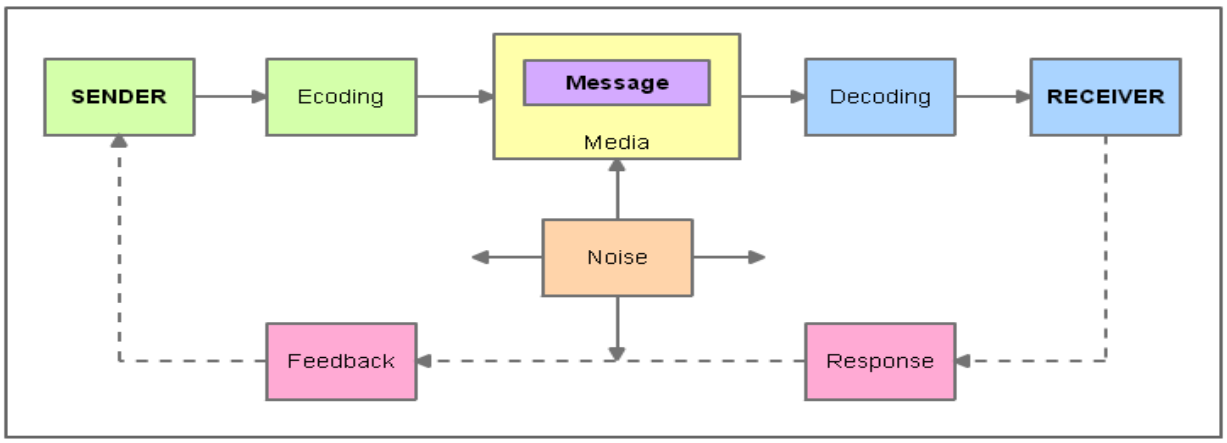
Communication is important in organizing jobs and making sure that all tasks are jobs are accomplished to achieve goals. Communication can take several forms: verbal, written, and expressed or body language.

Communication – the exchange of information and understanding

Verbal communication – refers to the oral and written communication

Non-verbal communication – refers to communication through body movements, gestures, facial expressions, eye contact, or body contact

The Communication Process



Retrieved from: https://sites.google.com/a/jasonpurton.com.au/jason-purton/blog/elementsofmarketing-backtobasicspart5 Accessed October 13,2020

The following are the elements involved in the communication process:

1. **Input**- the content of the message
2. **Sende**r – the one who encodes or sends the message
3. **Code** – a symbol system, known to both the sender and the receiver, that construct the meaning.
4. **Channel-** the means by which the sender relays the message to the receiver.
5. **Noise**- any distortion or interference during the communication process
6. **Receiver**- the one who decodes or receives the message
7. **Output-** the content of the message is decoded by the receiver.
8. **Response** – the reaction of the receiver to the message.
9. **Feedback**- the part of the receiver's response that is transmitted back to the sender.

Barriers to Communication in the workplace	**Overcoming Communication Barriers**
Physical barriers – Proximity aids in communication and encourages closeness among co-workers. **Perceptual barriers**- Perception refers to how people look at things. **Emotional barriers**-These barriers consist of fear, mistrust and suspicious.	**Using feedback** – Asking them to give comment or suggestion **Using simple language –** Avoiding uncommon term or flowery words that may cause misinterpretation. **Active listening –** listening well in order to grasp the full meaning of the communication.

Cultural barriers- Cultural differences among groups make communication difficult. **Language barriers**- People in different countries do not speak the same language. **Gender barriers**-There are distinction on the speech patterns of men of women that may cause misinterpretations. **Interpersonal barriers**-Interpersonal relationships and personal attitudes can be barriers to communication.	**Controlling emotions-** it is important to practice emotional restraint **Observing body language-** Non verbal cues must always be watched because , as the saying goes, action speak louder than words.

What's More

Directions: Modified True or False. Two statements are given.

If only the first statement is true, Answer is **A**
If only the second statement is true, Answer is **B**
If both statements are true, Answer is **C**
If both statements are false, Answer is **D**

_____1. Leadership is a process of inspiring and influencing a group of people to achieve common goals. Motivation encourages individuals to work enthusiastically.
_____2. The Two Factor Theory of Motivation was proposed by McClelland. The ERG Theory was developed by Alderfer.
_____3. Managers are advised to set goals for their subordinates. Target goals should not be achieved at the end of the plans.
_____4. Change is considered by many organization members as threat. Fear of change may be due to uncertainty, pessimism, and concern about personal loss.
_____5. Autocratic leaders are allowed team members to provide inputs before making decision. Democratic leaders take sole charge in decision making and do not consult other members.

What I Can Do

Directions: Read and understand the case study. Write your answer in a separate sheet.

CASE STUDY DIRECTING

Activity 11.1 EDSA RADIO AND TV COMPANY

Bong Tadiwan founded a small radio manufacturing plant in EDSA in 1991. The business grew to become one of the nation's largest radio, TV, and appliance production companies. By 1999, its sales approached P300 Million with 15,000 employees and ten manufacturing plants. Throughout the company's growth, the founder was its active, imaginative, and driving force. In earlier days, he knew every

manager and worker are called by their first names. When the company grew fairly larger, people still felt that they knew the founder and president, and this strong feeling of personal loyalty helped make for the absence of a company union.

However, the company prospered, Bong Tadiwan worried that it was losing its "small company" spirit. He also worried that his philosophies and objectives were not understood by the employees and that duplications take place because of poor communication of company policies among workers, thus affecting the development and marketing of new products.

To solve the communication problem, he hires a director of communication who reported to him, and together, they utilized all communication device other companies use: bulletin boards in all company's offices and plants; a revitalized house newsletter carrying news items from all company plants; a company manual for every employee giving significant information about the firm; profit-sharing Scheme; company-sponsored courses on communication; monthly meeting at the main office for the top executives; annual three-day meetings of 1,200 level-managers and special committees to discuss.

After much time, effort, and expense. Mr. Tadiwan was disappointed to find that his problems of lack of communication and the loss of "small company" feeling still exist. In short, his measure failed significantly.

QUESTIONS:

1.Can you identify the problem? State the problem.

_____

_____

2.What do you think the reasons, that even there are several solutions made to solve communication problem, still it does not work out? Explain your answer.

_____

_____

3.Can you recommend at least three solutions in this case?

Alternative 1 or Solution 1
Alternative 2 or Solution 2
Alternative 3 or Solution 3

4.Among the three alternatives or solutions which one will you recommend? Why? Explain your answer briefly.

_____

_____

MODULE 12

What I Need to Know

This module covers another function of management – Controlling. For the successful management of an organization Controlling involves the establishment of performance standards based on the company's objectives, measurement and assessment of actual performance based on the prescribed standards, and implementation of necessary corrective and preventive actions.

Learning Competencies:

Apply the concept and nature of different control methods and techniques in accounting and marketing

LC Code: ABM_AOM11-IIf-h-34 to ABM_AOM11-IIf-h-37

These lessons will explain understanding that controlling is essential in the acquisition of money and its useful disbursement. It requires identification and reinforcement of the firm's priorities and understanding how its operations are going to ascertain where improvement is needed.

Lesson 12 -Definition and Nature of Management Control
Control Methods and System
Application of Management Control in Accounting
And Marketing Concepts and Techniques

At the end of this module, you are expected to:
1. discuss the nature of controlling;
2. describe the link between planning and controlling;
3. identify and discuss control methods and system; and
4. relate management control to accounting and marketing concepts and techniques.

Lesson 12 Controlling the Organization

What is It

Controlling is one of the important functions of a manager. In, order to seek planned results from the subordinates, a manager needs to exercise effective control over the activities of the subordinates. In other words, the meaning of controlling function can be defined as ensuring that activities in an organization are performed as per the plans

In earlier times, **controlling** was associated with the concept of just being a corrective action. Present-day management, however, applies it as a foreseeing activity that sets standards in determining actual performance to correct previous decisions or actions. Therefore, management must focus on management control and the control process.

1.Definition and Nature of Management Control

CONTROLLING - a management function involves ensuring the work performance of the organization's members are aligned with the organization's values and standards through monitoring, comparing, and correcting their actions.

CONTROLLING - is the process of measuring and correcting activities (plans, organization, personnel, etc.) in an organization.

STANDARDS – any established measure of extent quantity, quality, or value.

NATURE OF CONTROLLING

Controlling is an ongoing process that involves members at all levels of the organization. The control function is the responsibility of everyone to, thus employees are expected to address problems s even if these are not within his or her responsibility.
Controlling is also considered an end function because this is performed after all other functions are done. It is also dynamic process because any deviations from standards should be immediately corrected. Constant monitoring is a vital component of the control process.

THE CONTROL PROCESS

1. Establishment of standard
2. Measure of performance
3. Comparison of actual performance with the standard
4. Taking corrective actions and realigning processes.

THE LINK BETWEEN PLANNING AND CONTROLLING

Planning and Controlling are closely related management functions. **PLANNING** identifies the goals and standards that an organization should aim for while **CONTROLLING** ensures that the performance of the whole organization conforms to the outlined plans. **CONTROLLING** also provides management with vital information that can be used in the **formulation of new plans** for the company.

PLANNING provides the baseline of the company's future while **CONTROLLING** becomes the tool that ensures the company's success.

The failure of controlling would mean failure of planning, and success of planning means success of controlling.

All forms of management controls are designed to give manager information regarding progress, the manager use this information to:

1. Prevent crises
2. Standardization outputs.
3. Appraise employee performance
4. Update plans
5. Protect an organization's asset

2.Control Methods and Systems

Control methods are used for measuring an organizations financial stability, efficiency effectiveness, production output, and organizations member's attitude

and morale. From the general point view, managerial effectiveness must be concerned with the maximizing of the abovementioned factors that are measured by the control methods.

Therefore, the challenge for present-day managers is to devise control methods and system that are aligned and consistent and will help attain these concerns.

METHODS OF CONTROL

A firm may apply control technique or methods which either **quantitative or nonquantitative.**

A. QUANTITATIVE METHODS

Quantitative methods which make use **data** and different tools expressed in members for monitoring and controlling production output.

Budgets and audits are among the most common quantitative tools.

Budgets remains the best-known control device. An organization's budget is an expression in financial terms of a plan for meeting the organization's goals for a specific period. A budget is an instrument of planning, management, and control.

Audits. Internal auditing involves the independent review and evaluation of the organizations, nontactical, such as accounting and finances. As a management tool, the audit measures and evaluates the effectiveness of management control.

Charts used as control tools normally contrast time and performance. A difference in numbers is much more noticeable when displayed graphically.

B. NONQUANTITATIVE METHODS

Nonquantitative Methods refer to the overall control of performance instead of only those of specific organizational processes.

These methods use tools such as **inspections, reports, direct supervision, and on-the-spot checking and performance evaluation or counseling to accomplish goals.**

OTHER CONTROL METHODS:

1. **Feedforward control** prevents problems because managerial action before the actual problem occurs**.**
2. **Concurrent control** takes place while work activity is happening. The best example of this type of control is direct supervision or management by walking around.
3. **Feedback control** is control that takes place after the occurrence of the activity. It is advantageous because the time the manager receives the information, the problem had already occurred.

4. **Employee discipline** is a control challenge for managers. Enforcing discipline in the workplace is not easy. Concerns regarding this include workplace privacy, employee theft, and workplace violence, among other.
5. **Project management control** ensures that the task of getting a project's activities done on time, within the budget, and according to specifications, is successfully carried out.

Various Control Methods and System in Monitoring and Controlling The General Conduct Of Company Operations.

1. **Administrative Control-** This technique entails establishing procedures and policies that ensure efficiency in the activities of the company.
2. **Performance appraisal –** This provides general impression of employee performance.
3. **Quality Control-** This control method relies on the quality of products and services as a basis for establishing performance standards, monitoring results, and comparing results with standard.

3.Application of Management Control in Accounting and Marketing Concepts and Techniques

Control is applied to many functional areas in the business organization, particularly in **Accounting and Marketing**. These two departments generate important information regarding the overall performance of the company.

The **Accounting Department** provides financial information that can help determine the financial stability of the organization.

The **Marketing Department**, meanwhile, provides data on the company's sales performance.

Management control in accounting and finance is the control that make use of the **balance sheet, income statement, cash flow statement** to analyze and examine financial statements to determine the **company's stability.**

On the other hand, **management control in marketing** is the control that make use of projected sales or forecast, statistical models, econometric modeling, surveys, historical demand data, and actual consumption of their products.

SALES is the 'Lifeblood of the business". No matter how good the product is, if it is not sold in the market, there is no way that a business can survive.

ACCOUNTING OR FINANCIAL CONTROLS

Financial controls are important tools that determine whether the company is on track toward achieving its financial goals.

Financial ratios are one of the control methods utilized in financial control.

These rely on information gained from **financial statements**, which are formal records of the financial activities of the organization. **The main types of financial statements are the balance sheet and the income statement.**

BALANCE SHEET – Is a financial statement which is defined by most accounting book as "snapshot" of any entity' financial condition because it present the financial balances of a particular period.
Contains the company's **assets, liabilities, and capital account**.

Illustration of a Balance Sheet

Wendy Santos Company
Balance Sheet
December 31, 2019

Assets		Liabilities	
Cash	P 80,000	Accounts Payable	P 70,000
Accounts Receivable	10,000	Notes Payable	90,000
Land	140,000	Total Liabilities	160,000
Building	400,000	Owner's Equity	
Equipment	70,000	Santos, Capital	640,000
Vehicle	100,000	Total Liabilities and	
Total Assets	P 800,000	Owner's Equity	P 800,000

- **ASSETS** – are things or resources that the company owns. These include things that the company has purchased or acquired.

- **LIABILITIES**-are the obligations of the company to creditors for past transactions such as acquisition of raw materials and other debts.

- **OWNER'S EQUITY OR STOCKHLDER'S EQUITY** -shows the amount of the capital the owners of the business have invested.
- **Owner's Equity** is applicable for sole proprietorship
- **Stockholder's Equity** is applicable for corporation

The standard formula for determining the financial status of the company using a balance sheet is **Asset = Liabilities + Owner's Equity**

INCOME STATEMENT – reports profit earned, or losses incurred by the company over a given period.
contains information about the company's gross income, expenses and profits.

Illustration of an Income Statement

WENDY SANTOS
Income Statement
For the Month Ended May 31, 2019

Revenues	
Consulting Revenues	P 67,700
Referral Revenues	4,000

Total		P 71,700
Expenses		
Salaries Expense	P 15,600	
Utilities Expense	4,400	
Rent Expense	4,000	
Depreciation Expense-Service Vehicle	4,000	
Interest Expense	3,500	
Supplies Expense	3,000	
Insurance Expense	1,200	
Depreciation Expense-Office Equipment	1,000	
Total		36,700
Profit		P 35,000

- **REVENUE** – This is the income from primary activities such as production and selling of goods on the part of the manufacturer.
  Sales Revenue refers to revenue gained from the sale of goods, by retailers, distributors, manufacturers, and wholesaler.
  Other revenue – comes from the secondary activities unrelated to the main business-like rent from an idle warehouse or garage.
- **EXPENSES-** These are costs incurred in the operation of the business.
- **NET INCOME –** the income statement lists the revenues and expenses incurred by the company, and the total expenses is subtracted from the total revenues.
  Profit – indicates the expenses are less than the income or total revenue.
  Loss – If the expenses are greater than the revenue.

ACCOUNTING /FINANCIAL CONTROL RATIOS

Liquidity ratio- test the organization's ability to meet short term obligations, it may also refer to acid test done when inventories turnover slowly or are difficult to sell.

Current ratio = current assets ÷ current liabilities

Leverage ratio – determine if the organization is technically insolvent, meaning that organization's financing is mainly coming from borrowed money or from the owner's investment.

Debt-to-assets ratio = total debt ÷ total assets

Activity ratio – determines if the organization is carrying more inventory than what it needs; the higher the ratio, the more efficiently inventory assets are being used.

Inventory turnover = cost of goods sold ÷ average inventory

Profitability ratio- determines the profits that are being generated.

Net profit = after taxes ÷ total sales

MARKETING CONTROLS

Control is also applicable in the marketing function since setting performance standards is an important part of developing marketing objectives.

There are five types of marketing control:

1. **Strategic control** – This refers to processes implemented to control the formulation and execution of strategic plans.
2. **Annual plan control** – This involves analyzing a company's sales date to determine trends and changes in sales figures and identify any discrepancy or variance in performance.
3. **Customer tracking** – These are methods that determine customer behavior and their reactions to marketing activities.
4. **Profit control** -This determines the profitability of company activities and identifies where the company is making or losing money.
5. **Efficiency control** – This keeps track of the efficiency of marketing expenditures such as sales force, advertising, sales promotion, and distribution.

What's More

Directions: Identify whether the item is an element or type of accounting or marketing control. Write **A** if related in accounting control, and **M** if it is related to marketing control. Write your answers in a separate sheet.

_____1. Strategic control

_____2. Income Statement

_____3. Net Income

_____4. Customer tracking

_____5. Current Assets

_____6. Market share analysis

_____7. Balance Sheet

_____8. Long-term liabilities

_____9. Sales analysis

_____10. Annual plan control

What I Can Do

ACTIVITY 12.1 CONTROLLING

Directions: Describe briefly the possible errors and their remedial actions affecting the four managerial functions. Write your answer in a separate sheet.

FUNCTIONS and POSSIBLE ERRORS/DEVIATIONS	REMEDIAL ACTIONS
PLANNING 1. 2.	

3.	
ORGANIZING 1. 2. 3.	
STAFFING 1. 2. 3.	
LEADING/DIRECTING 1. 2. 3.	

MODULE 13

What I Need to Know

This module discusses the different functional areas of management. This will be beneficial to all persons who will one day join organizations-not just business companies but also nonbusiness organizations such as government, educational and health care institutions, and other non-profit organizations.

Learning Competencies:

Explain the nature and role in the firm of the following functional areas of management:

a. Human Resource Management
b. Marketing Management
c. Operations Management
d. Financial Management
e. Material and Procurement Management
f. Office Management
g. Information and Communication Technology Management

LC Code: ABM_AOM11-IIi-39

This module specifically discuss:

Lesson 13 - Introduction to the Different Functional Areas of Management

At the end of this module, you are expected to:
Explain the nature and role in the firm of the following functional areas of management:

a. Human Resource Management
b. Marketing Management
c. Operations Management
d. Financial Management
e. Material and Procurement Management
f. Office Management
g. Information and Communication Technology Management

Lesson 13 Introduction to the Different Functional Areas of Management

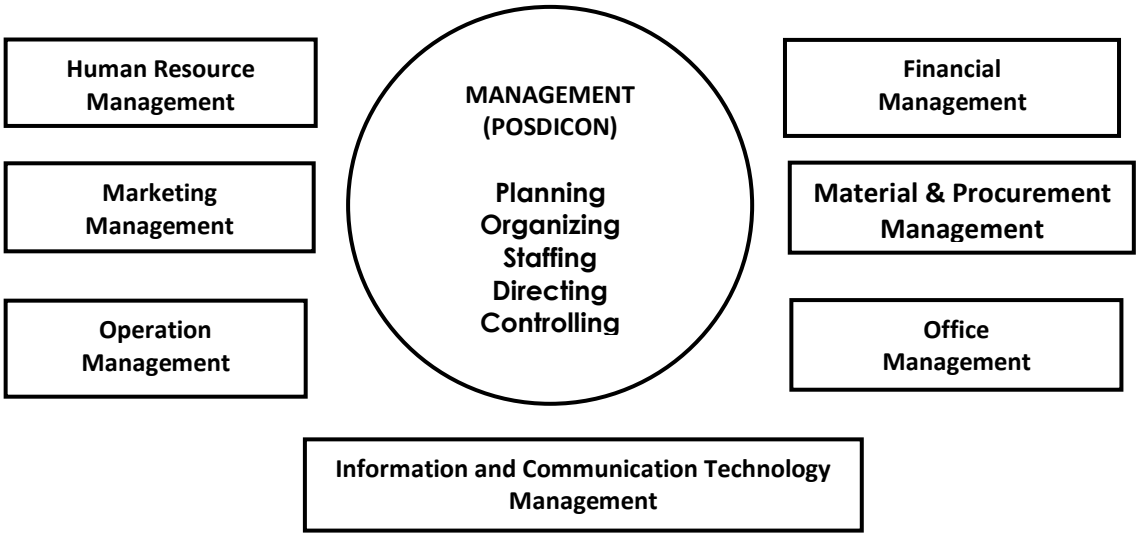
Different Functional Areas of Management

Retrieved from :https://www.slideshare.net/christinejoyjubacpilapil/chapter-8-introduction-to-the-different-functional-areas-of-management. Accessed November 12, 2020

To prepare you to become a future leaders and managers, you must become familiar with the functional areas of management. -

In doing so, you will be ready for the local and global challenges That you will inevitably meet tomorrow's workplace. Managerial and leadership functions are essentially the same because all these aims to establish an environment for the effective and efficient performance of an individual s and cooperate with one another in teams/groups of different organizations.

The different functional areas of Management with basic functions of management:



HUMAN RESOURCE MANAGEMENT	FUNCTIONS OR ROLES OF HUMAN MANAGEMENT
HUMAN RESOURCE MANAGEMENT is the process of attracting, training, developing, and maintaining an excellent workforce. **HUMAN RESOURCE MANAGEMENT** Is the process of planning, organizing, staffing, directing, controlling the human/personnel activities. **HUMAN RESOURCE** also known as human capital, drive the performance of organization s along with other resources. **HUMAN RESOURCE MANAGERS** – recruits, conducts interviews, and manage benefits based on company policies.	1. Conducting Job Analysis 2. Planning Labor and recruiting 3. Selecting candidates for the job 4. Orienting and training new employees 5. Managing compensation or pay. 6. Providing incentives and benefits 7. Evaluating employee's performance 8. Communicating 9. Developing employees 10. Building employee commitment 11. Providing good working conditions 12. Handling grievances and industrial relations

MARKETING MANAGEMENT	FUNCTIONS OF MARKETING MANAGEMENT
MARKETING MANAGEMENT is the process of managerial planning and carrying out of the conception, pricing, promotion, and distribution of ideas, goods, and services in order to bring about exchanges to satisfy individual and organizational goals. (As defined by the American Marketing Association) **MARKETING MANAGEMENT i**s the process of planning, organizing, staffing, directing, and controlling the marketing activities. **MARKETING MANAGERS-** are tasked of developing strategies for the brand analyzing the demand for the product or services. They also identify potential markets, distributors, and competitors. **MARKETING MANAGERS** are also called product managers or brand managers.	1.Analyzing, planning, implementing, and controlling of goods, services and ideas to create exchanges that satisfy customer needs and company goals. 2.Management of marketing resources. Such as salespeople, advertising, marketing research. **Advertising** is any system of attracting public notice to an event the desirability of commercial products for sale. 3.Analyze plan and implement marketing programs that aim to bring about an expected level and mix of business dals with target markets. 4.Stimulate demands for the products of the company. 5.Make crucial decisions that will ensure the company's competitiveness. 6.Make sure that marketing techniques employed are efficient, effective, and socially responsible and ethical.

OPERATIONS MANAGEMENT	FUNCTIONS OF PRODUCTIONS MANAGEMENT
OPERATIONS MANAGEMENT The study of how goods and services are produced in an organization.	1.Overseeing the transformation processes that change resources into finished goods and services.

OPERATIONS MANAGEMENT is the process of planning, organizing, directing, and controlling the production activities. **PRODUCTION** is the creation of anything of value such as goods, services, or ideas that people want are willing to pay for. **PRODUCTION** in reference to manufacture, is the processing of materials into a new expected form. **PRODUCTION MANAGERS** – deal with the resource and service requirement s of manufacturing of production. Their managerial tasks are production scheduling, procurement, maintenance, equipment, and facilities repair.	2.Improvement of productivity and competitive advantage. ***Productivity*** measures the efficiency by which inputs are turned into outputs. 3.Managing the sequence of activities and information along the whole course of the value chain.

Retrieved from:https://masterstart.com/blog/financial-management/financial-management-overview/ Accessed November 17,2020

FINANCIAL MANAGEMENT	FUNCTIONS OF FINANCIAL MANAGEMENT
FINANCIAL MANAGEMENT - is the management and custody of the organization's funds, seeing to it that funds are effectively and efficiently utilized in order to provide for all the needs of the organization's various operating units. **FINANCIAL MANAGEMENT** is the process of planning, organizing, directing, and controlling the financial activities. **FINANCE** – is defined as the art and science of managing money. It can also be defined as the effective acquisition and management of the assets of an organization. **FINANCE MANAGERS**- supervise all finance operations. They raise funds, invest assets, and manage them effectively in economically unstable environment.	1.Taking charge of the company's financial policies and strategies, investments, capital structures, and dividend policies. 2.Financial Management and control. 3.Financial Planning. **Financial Planning** is the process of setting financial objectives and determining what should be done to accomplish them. This includes: • financial forecasting • financial analysis • financial performance evaluation

MATERIAL AND PROCUREMENT MANAGEMENT	FUNCTIONS OF MATERIAL AND PROCUREMENT MANAGEMENT
PROCUREMENT MANAGEMENT is the process of planning, organizing, staffing, directing, and controlling the procurement activities. **PROCUREMEN**T is the act of purchasing or acquiring goods and services for company use. Companies usually have a separate department for procurement which is called the **Purchasing Department.** **Purchasing department** is in charge in acquisition of materials and resources for the different departments in the organization. **PROCUREMENT MANAGERS OR PURCHASING MANAGERS** – supervise the procurement process of the company. They evaluate and approve for acquisition and ensure that materials purchased are of good quality and purchases at competitive price.	1.The proper utilization of money is extremely important to the survival of every individual and company. 2.Purchased materials and services include the biggest part of expenditures in most companies. 3.The investment in raw materials, parts, and supplies inventory in some companies is essential, and the efficient management of such inventory can contribute to profit.

OFFICE MANAGEMENT	FUNCTIONS OF OFFICE MANAGEMENT
OFFICE MANAGEMENT - Involves the proper handling maintenance of the clerical aspects of all the functional departments of the organization, as well as facilitation of proper communication, coordination, and storage of data. **OFFICE MANAGEMENT** is the process of planning, organizing, staffing, directing, and controlling office activities and those performing them in order to achieve determined objectives **MIDDLE MANAGERS OR SUPERVISORS** perform a number of roles related to office management, such as coordinating with support services, and ensuring that deadlines are met, and efficiency is maintained in their respective departments by formulating appropriate strategies.	1.Determining the complete course action to accomplish the work. 2.Providing an effective office organization 3.Inspring the office personnel to do their best.

INFORMATION AND COMMUNICATION TECHNOLOGY MANAGEMENT (ICTM)	FUNCTIONS OF INFORMATION AND COMMUNICATION TECHNOLOGY MANAGEMENT (ICTM)
THE MANAGEMENT OF INFORMATION AND COMMUNICATION TECHNOLOGY that collects, organizes and distributes data to be used in the organization's decision- making function. **Information Systems** are now indispensable tool in conducting business. Mangers can utilize these in accessing and managing the crucial information that they need to perform their management functions. **Information technology** is extensively used in business operations, with many of the information regarding processes, personnel, clients, suppliers, and market statistics now provided in electronic formats for easy access and exchange. **INFORMATION SYSTEM MANAGERS** take charge of establishing an information system, managing its components and programs, and rendering technical support to the various departments in the organization. Their tasks include software and hardware management, networking, and internet maintenance.	1.Developing the organization's hardware, hardware, software, and other computing and communicating technology. 2.Developing the organization's management information system (MIS) tailored to the needs of the firm's units. 3.Encouraging e-commerce through Internet use.

What's More

Directions: Matching. Match the items in Column 1 with the items in Column 2. Write only the letter of the correct answers in a separate sheet.

COLUMN 1	COLUMN 2
1.Information Communication and Technology Management (ICTM)	a. Their tasks include software and hardware management, networking, and internet maintenance.
2.Marketing Managers	b. They raise funds, invest assets, and manage them effectively in economically unstable environment.
3.Human Resource Management	c. Is the process of planning, organizing, staffing, directing and controlling the procurement activities.
4.Financial Management	d. Is the process of planning, organizing, staffing, directing, controlling the human/personnel activities.
5.Information System Managers	e. Providing an effective office organization.

6.Office Management	f. Is the process of planning, organizing, directing, and controlling the financial activities.
7.Material and Procurement Management	g. They are also called product managers or brand managers.
8.Finance Managers	h. Oversee transformation of resources into finished product.
9.Marketing Management	i. Stimulation of demands for company's product
10. Operations Management	j. Collect, organize, and distribute date needed for the firm's decision-making function.

What I Can Do

ACTIVITY 13.1 Different functional areas of Management

Directions: Think of a business proposal. Give some activities affecting the various areas of management. Write your answer in a separate sheet.

BUSINESS PROPOSAL:_____

AREAS OF MANAGEMENT	ACTIVITIES
Production Management	
Marketing Management	
Financial Management	
Human Resource Management	

MODULE 14

What I Need to Know

This module highlights the discussion on the significant role of the small businesses in the Philippine Economy and encourage the students to apply their skills and engage in business through the formulation of business plan.

These lessons will explain understanding of starting small business in the country:

Lesson 14 Special Topics in Management
Small business Management and Entrepreneurship
Family Business Enterprise
Starting a Business Legal Forms and Requirements

Learning Competencies:
Explain the steps and importance of starting a family business
Learning Code: ABM_AOM11-IIj-40
ABM_AOM11-IIj-41
ABM_AOM11-IIj-42

At the end of this Modules, you are expected to:
1. explain how to start family business;
2. appreciate the role of small/family business operation in the improvement of one's economic status; and
3. identify legal business forms and requirements.

Lesson 14 Special Topics in Management

What is It

1. Small Business Management and Entrepreneurship

ENTREPRENEURSIP AND MANAGEMENT

Innovative, creative, and intuitive thinking in business management helps entrepreneurs come up with great ideas or new strategies that may lead to the successful achievement of their goals-service, growth, and profitability.

ENTRPRENEURSHIP innovative, creative, risk-taking, growth-oriented behavior that brings new opportunities for individuals or organizations to start new businesses and to produce new products or services that are beneficial to society.

ENTREPRENEURSHIP also has socio-economic contributions. It provides employment, not only to the entrepreneur, but to fellow Filipinos. Thus, helping ease unemployment. Entrepreneurship provides additional sources of taxes for the government, hence contributing to Philippine economic progress.

ENTREPRENEUR is an individual who establishes a business for the purpose of achieving profit. He or she identifies opportunities and acquire s and organize the resources. Needed for such business. **Most entrepreneurs start small.** Successful entrepreneurs can easily spot a **business opportunity** and capitalize on that opportunity to gain maximum profit. Entrepreneurs, now adays come up with innovative ideas and approaches in business, often redefining traditional ways of doing business.

ENTREPRENEURIAL PROCEDURE INCLUDES THE FOLLOWING:

1. Formulate the business Vision-Mission Statements
2. Segment the market into:
   a. **Geographical** – market segmentation may be used on location (city, province, region, or country: north, south, east and west)
   b. **Demographica**l – bases consider population and further be extended to include age, income, education, marital status, and other related information.
   c. **Psychographical** – psychographics looks into people's behavior toward purchasing or spending, or toward a product or service.
   d. **Behavioral** – segmentation may be based on people's behavior toward purchasing or spending, or toward a product or service.
3. Find the Target Market
4. Understand the environment – internal and external environment
5. Develop the business plan
   Business plan is a road map which the business must follow utilizing the resources at hand while keeping the environment in mind.
6. Implement and monitor the business venture
7. Maximum the utilization of human resources.

2.Family Business Enterprise

Nowadays, there are many successful family businesses run by entrepreneurs who have different stories to tell and different strategies for their business success. However, they have possessed some common characteristics such as creativity, innovativeness, service orientation, and the ability to take risks and do hard work, among others There are stories wherein ordinary family members despite of starting with meager capital, have persevered to produce competitive products or render of good services that brought them success in their chosen business endeavor.

- **SMALL BUSINESS** a business that has fewer r than 100 to 500 workers (depending on the prevailing commercial law in a particular country) , independently owned operated , and financed; not always entrepreneurial in orientation and does not dominate its industry; capital is low but capable of

producing goods or rendering services designed to satisfy particular needs of customers.

- **FAMILY BUSINESS** a business owned and financially controlled by members of the family.
- **ENTERPRISE** any projected task or work, an undertaking

THE FAMILY BUSINESS ENTERPRISE

Families owning businesses are common around the world. It is estimated that about 65% of registered business worldwide are owned by families. The Philippine business sector is dominated by well-known family-owned businesses, and about 80% of business enterprise in the country are run by families.

Among the most famous of Filipino business families are the Sy family, owners of SM Investments and SM Prime Holdings; the Lopez's, who owns Lopez Holdings and ABS-CBN; the Gokongwei's of Universal Robina, Robinson's, and Cebu Pacific; and the Ayala Family of Ayala corporation and Globe Telecom.

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CHARACTERISTIC OF FAMILY-OWNED BUSINESS

- The primary characteristics of a family business is that its owners consider the business as a legacy that will be passed on to the next generation.
- Family- owned business consider the long-term perspective with regards to the performance of the business.
- Family owners aim to maintain and improve the performance of the business and allow the next generation to reap and re-sow the fruits of the company's success.
- The family- owned business is also viewed not merely as an organization, but an extension of the family where each member is given great importance.

3.Starting a Business: Legal Forms and Requirements

The legal form of business is determined by its ownership or proprietorship. A business may be a **single proprietorship, a partnership, a corporation or a cooperative.**

WHY AND WHERE WE SHOULD A BUSINESS BE REGISTERED?

BUSINESS REGISTRATION is a government requirement that orders new business owners to furnish government agencies with necessary information prior to the legal operation of their business organization.

Businesses or entrepreneurial ventures must be registered in compliance to Philippine Laws. Without proper registration in authorized government agencies, the business cannot operate legally. Registering also give credibility to business, hence helping earn the trust of customers, suppliers, partners, and other stockholders.

REGISTRATION DOCUMENTS SHOULD BE SUBMITTED TO THE:

- Department of Trade and Industry (DTI) and the Securities and Exchange Commission (SEC) for commercial registry;
- Barangay office for clearance and securing community tax certificate;
- City mayor's office for the mayor's permit and license to operate;
- City or national government agencies for sector- specific licenses/permits;
- Bureau of Fire Protection (BFP) for safety clearance
- Bureau of Internal Revenue (BIR) for taxation purposes;

- Pag-IBIG Fund (Home Development Mutual Fund)office for employee's housing needs/security; and
- The Department of Labor and Employment (DOLE) for labor statistics

REGISTRATION OF THE LEGAL FORMS OF BUSINESS

Future entrepreneurs must contact the government agencies concerned regarding their updated or revised rules and regulations as well as latest legislations that may have to be complied with.

SINGLE PROPRIETORSHIP	Single Proprietorship Registration
Single Proprietorship – a business owned by one person only. In **single proprietorship** the owner and the business are considered one, meaning the owner's income and the business income are one and the same and the same and the business income is taxed as personal income. Decision-making is the sole responsibility of the owner and if it succeeds, he gets all the profits. If it fails, he suffers the losses and has to pay all debts incurred.	1.Business name registration with the DTI 2.Submission of two recent 2x2 ID pictures 3.Submission of Filipino citizenship proofs examples of needed evidence are birth certificates, passport and voter's ID among others 4. Payment of application fee for processing fee plus documentary stamp amount
PARTNERSHIP	**Partnership Registration**
PARNERSHIP is business formed when two or more persons formally agree to be joint owner of a business. Their resources (money and other assets and talents (skills, experience, management expertise) maybe pooled together. All partners share the profits equally, unless otherwise specified in their partnership agreement.	1.Filing of the previously prepared partnership agreement by two or more applicants with the SEC. 2.Payment for the filing fee 3.Valuation of the application by the lawyer and staff of the Corporate and Legal Department of SEC. 4.Release of the approved application (within 15 to 30 days)
CORPORATION	**Corporation Registration**
CORPORATION is a business company involving five or more persons owning it. The **corporation** is registered and recognized by law as a "**legal person**" that has legal rights and responsibilities, can be sue or be sued in court, can own and sell properties, and can transact/enter into contracts. Ownership is divided into units known as "shares of stocks" and owners are called stockholders. A board of directors, elected by the stockholders on a regular basis, manage the corporation which is run	1.Filing of the previously prepared articles of incorporation and by-laws and bank certification regarding stockholder's share of stock s with SEC 2.Payment of the registration fee 3.Valuation of the application by the lawyer and staff of the Corporate and Legal Department of SEC 4.Release of the approved application (within 15 to 30 days)

according to term specified by their by-laws and articles of incorporation.	
COOPERATIVE	**Cooperative Registration**
Cooperative is group enterprise made up of several traders, consumers, and producers who interested to produce or trade as a group. The **cooperative** original purpose was to supply those involved with good and services at lower cost as compared to those bought from retailers. A group of officers, called board of directors and committee, headed by chairman, manage the cooperative activities.	1.Submission of four copies of previously prepared economic survey with a general statement that describes the cooperatives' structure, purpose, economic feasibility, operation area, and membership size, among others to the Cooperative Development Authority (CDA) 2.Submission of four copies of previously prepared articles of cooperative agreement together with the bonds paid for accountable officers. 3.Submission of four copies of the cooperative's by-laws 4.Payment of registration fee prescribed by CDA 5.Release of approved registration on specified dates.

What's More

Directions: Arrange the steps involved in the Entrepreneurial Procedure or Process according to its chronological order. Number the first step 1 and the last step 7.

_____ a. Find the target market
_____ b. Develop the business plan
_____ c. Understand the environment
_____ d. Implement and monitor the business venture
_____ e. Segment the market
_____ f. Formulate the business vision and mission statements
_____ g. Maximize the utilization of business resources

What I Can Do

ACTIVITY NO. 14.1 SPECIAL TOPICS IN MANAGEMENT

Directions: Analyze the situation and write an essay discussing the questions that follow. Write your answer in a separate sheet.

IF YOU WERE THE MANAGER

A high-level manager in an information technology firm was invited by his friend to join a start-up business that will produce an application software to help Filipinos manage their everyday finances. The manager was told that his experience in overseeing a IT-based company will be immense or enormous value to start-up. The manager was hesitant since it would mean leaving the company where he worked in for two decades.

Discussion Questions

1. If you were the manager, will you take the chance and join the start-up? Why or why not?
2. What information would you need from the start-up business to further clarify your choice whether to join the company or not?
3. What advice would you give the entrepreneurs to guide them in their start-up business?

POST TEST: Choose the letter of the best answer. Write the chosen letter on a separate sheet of paper.

1. A functional area of management responsible in financial management and control.
   a. Office Management
   b. Marketing Management
   c. Financial Management
   d. Operation Management
2. A road map which the business must follow utilizing the resources at hand while keeping the environment in mind.
   a. Business Plan
   b. Marketing Plan
   c. Tactical Plan
   d. Strategic Plan
3. The process of acquiring and developing human resources to carry out and perform various activities of the organization.
   a. Scanning
   b. Planning
   c. Organizing
   d. Staffing
4. Is the procedure for determining the duties and skill requirements for a job or position, as well as other qualifications sought for in an employee or applicant.
   a. Job Specification
   b. Job Description
   c. Job Analysis
   d. Job Position
5. A management function involves ensuring the work performance of the organization's members are aligned with the organization's values and standards through monitoring, comparing and correcting their actions.
   a. Planning
   b. Staffing
   c. Controlling
   d. Organizing

6. Are used for measuring an organizations financial stability, efficiency effectiveness, production output, and organizations member's attitude and morale.

a. Control Methods
b. Financial Control
c. Feedback Control
d. Feedforward Control

7. Theory of motivation which predicts that employees are motivated to work well because of the attractiveness of the rewards or benefits that they may possibly receive from a job assignment.

a. Scientific Management Theory
b. Expectant Theory
c. Equity Theory
d. General Administrative Theory

8. Gift, prize, or recompose for merit, service or achievement which may have a motivating effect on the employee.

a. Rewards
b. Salary
c. Promotion
d. Compensation/wage

9. Refers to process of social influence that enables a person to encourage others and enlist their aid and support.

a. Motivation
b. Leadership
c. Communication
d. Controlling

10. Is important in organizing jobs, it can take several forms: verbal, written and expressed or body language.

a. Directing
b. Controlling
c. Motivation
d. Communication

Module 1-8

What I Know
PRE-TEST

1.	C	6.	A
2.	B	7.	C
3.	C	8.	D
4.	B	9.	B
5.	D	10.	A

Assessment
POST TEST

1.	B	6.	D
2.	A	7.	C
3.	C	8.	B
4.	B	9.	D
5.	C	10.	A

Module 1
What's More

1. D
2. C
3. B
4. A
5. C

Module 2
What's More

1. Disagree
2. Agree
3. Agree
4. Agree
5. Disagree
6. Agree

Module 3
What's More

1. EF
2. SF
3. PF
4. WF
5. TF

Module 3
What I Can Do

1. T
2. S
3. O
4. X
5. T
6. S
7. T
8. W
9. W
10. T

Module 4
What's More

1. O
2. X
3. O
4. O

Module 5
What's More

1. False
2. True
3. True
4. True
5. True

Module 6
What's More

1. NPD
2. NPD
3. PD
4. PD
5. PD

Module 7
What's More

1. R
2. W
3. R
4. W
5. R

Module 8
What's More

1. T
2. M
3. M
4. T
5. M

Module 9-14

What I Know

PRE-TEST

1. D
2. C
3. B
4. A
5. B
6. D
7. C
8. A
9. C
10. A

Module 9

What's More

1. C
2. A
3. B
4. D
5. C

Module 10

What's More

1. F
2. T
3. F
4. F
5. T

Module 11

What's More

1. C
2. B
3. A
4. C
5. D

Module 12

What's More

1. M
2. A
3. A
4. M
5. A
6. M
7. A
8. A
9. M
10. M

Assessment

POS TEST

1. C
2. A
3. D
4. C
5. C
6. A
7. B
8. A
9. B
10. D

Module 13

What's More

1. J
2. G
3. D
4. F
5. A
6. E
7. C
8. B
9. I
10. H

Module 14

What's More

3 A
5 B
4 C
6 D
2 E
1 F
7 G

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For inquiries or feedback, please write or call:

Department of Education – Schools Division Office Navotas
Learning Resource Management Section

Bagumbayan Elementary School Compound
M, Naval St., Sipac Almacen, Navotas City

Telefax: 02-8332-77-64
Email Address: navotas.city@deped.gov.ph